360°

Global Market Centre-Stage

Annual Report 2016

CONTENTS

CORPORATE SECTION

PG 01 Corporate Information I Board of Directors
PG 02 Corporate Structure
PG 03 Management Discussion & Analysis
PG 06 Directors' Profile
PG 13 Key Senior Management
PG 20 Event Highlights
PG 22 Corporate Governance Statement
PG 33 Statement on Risk Management and Internal Control
PG 36 Audit Committee Report
PG 41 Nomination Comittee Statement
PG 44 Additional Compliance Information
PG 47 Corporate Social Responsibility ("CSR")

FINANCIAL SECTION

PG 49 Directors' Report
PG 56 Statement by Directors I Statutory Declaration
PG 57 Independent Auditors' Report
PG 62 Statements of Financial Position
PG 64 Statements of Profit or Loss and Other Comprehensive Income

CONTENTS

PG 66 Statements of Changes in Equity
PG 69 Consolidated Statement of Cash Flows
PG 71 Company Statement of Cash Flows
PG 73 Notes to the Financial Statements
PG 127 Realised and Unrealised Profits/Losses (Supplementary Information)
PG 128 List of Property
PG 129 Analysis of Shareholdings
PG 132 Analysis of Warrantholdings
PG 135 Notice of Annual General Meeting
Proxy Form

BOARD OF DIRECTORS

TIANG BOON HWA
Managing Director

LAI SU PING
Non-Independent Executive Director

OH KIM SUN
Independent Non-Executive Director

YBHG DATUK TAN BOON LENG
Independent Non-Executive Director

GOH FUQIANG, KENNETH
Independent Non-Executive Director

ELAINE FOONG SOOI JADE
Independent Non-Executive Director

AKIO FURUSE
Non-Independent Non-Executive Director

MASASHI SHINDO
Non-Independent Non-Executive Director
(Appointed on 30/03/2017)

CHUA TIONG HOONG
Non-Independent Executive Director
(Resigned on 30/03/2017)

TETSUYA IGUCHI
Non-Independent Non-Executive Director
(Resigned on 30/03/2017)

CORPORATE INFORMATION

COMPANY SECRETARIES
Ho Mun Yee (MAICSA 0877877)
Tam Fong Ying (MAICSA 7007857)

REGISTERED OFFICE
3rd Floor, 17, Jalan Ipoh Kecil
50350 Kuala Lumpur
T: 603. 4044 3235
F: 603. 4041 3959
email: esprit@espritms.com.my

HEAD OFFICE
Wisma N2N
Level 9, Tower 2, Avenue 3
Bangsar South
No. 8, Jalan Kerinchi
59200 Kuala Lumpur
T: 603. 2241 1818
F: 603. 2241 1616
website: www.n2nconnect.com

AUDITORS
Morison Anuarul Azizan Chew
(AF 001977)
Chartered Accountants
18, Jalan 1/64
Off Jalan Kolam Air / Jalan Ipoh
51200 Kuala Lumpur
T: 603. 4048 2888
F: 603. 4048 2999

REGISTRAR
Symphony Share Registrars
Sdn Bhd (378993-D)
Level 6, Symphony House
Pusat Dagangan Dana 1
Jalan PJU 1A/46
47301 Petaling Jaya, Selangor
T: 603. 7841 8000
F: 603. 7841 8151 / 8152

PRINCIPAL BANKERS
Ambank (M) Berhad
Malayan Banking Berhad
OCBC Bank (Malaysia) Berhad

STOCK EXCHANGE LISTING
ACE Market of Bursa Malaysia
Securities Berhad
Stock Name: N2N
Stock Code: 0108.KL

N2N CONNECT BERHAD
CORPORATE STRUCTURE

NGN CONNECTION SDN BHD (Located at Malaysia) — 100%

- **GLOBAL FIN NET** SDN BHD (Located at Malaysia) — 100%

N2N CONNECT PTE LTD (Located at Singapore) — 100%

- **N2N CONNECT AUSTRALIA** PTY LTD (Located at Australia) — 100%

N2N GLOBAL SOLUTIONS SDN BHD (Located at Malaysia) — 100%

- **HERMES BOS** SDN BHD (Formerly known as Influx Biotech Sdn. Bhd.) (Located at Malaysia) — 70%

N2N ADVANCED LEARNING SDN BHD (Located at Malaysia) — 100%

AFE SOLUTIONS LTD (Located at Hong Kong) — 100%

MANAGEMENT DISCUSSION & ANALYSIS

Overview of Group's Business and Operations

After 5 years of investment in research and development, 2017 will be the year where investment banks and brokers will get a new life from the new product range we are rolling out, namely the TcPro Global, TcPlus and TcMobile for smartphone and tablet (collectively known as Execution Management System). These new front end systems will be complemented by the new BMS Plus (Broker Management System) and low latency OMS Pro (Order Management and Routing System). The timing is strategic as brokers may ride on them to meet the demand of the competitive market.

We have also successfully expanded our growth in the Philippines by offering direct manage services to a leading broker in addition to the Philippines Stock Exchange. Greater efforts are being made to increase direct offering to other brokers who wish to access a wider range of services which we can provide beyond the entry level we offer via the Philippines Stock Exchange. We will also be setting up a meaningful local team to serve these growing needs.

In our regional expansion plan, the timely completion of the acquisition of AFE Solutions Ltd ("AFE") in Hong Kong on 31 March 2017 is expected to catalyse our growth, transforming N2N from a domestic player with almost 80% domestic incomes to a regional player deriving more than 70% from Asian region. Due to the synergy between the two companies' domain knowledge and offerings, the cost efficiencies and infrastructure alignment will significantly reduce our overall operating and licensing costs and boost our net profits.

The expanded marketplace provide us great opportunity to offer the latest range of N2N's new innovations which include the low latency order management system that complement the advance trading and information platform known as TcPro Global which is powered with Nikkei Asian Review, Nikkei Markets, QUICK's Statistical Analytic and renown fundamentals from the choice of Thomson Reuters, Factsets and Capital IQ, etc in one integrated application suite. The new application had just won N2N the APICTA Merit award (2016).

The management team is also working on a few more acquisitions, which will result in a Pan Asian presence with established network that will power inter broking activities across Asia. Our coverage now include Malaysia, Singapore, Indonesia, the Philippines, Hong Kong, Macau, Vietnam and the United States which makes us one of the largest Asian base platform provider.

The investment in the Data centre setup over the past 4 years has also yielded positive results. We are enjoying a 16% year-on-year growth, with gigabits network which connects to 400 over locations throughout Malaysia. The centre is equipped with the latest Cybersecurity, network monitoring, intrusion prevention system etc making it one of the most well equipped data centre that serves the demanding growth of IOT marketplace.

Financial Review

N2N remains intact for strong growth with prudent management, innovative research and development, aggressive sales force and recognised servicing teams. This was evidenced with the significant growth in the revenue generated from the financial network services by approximately 16%.

Despite a challenging year in 2016, N2N managed to increase revenue from RM38.9 million in revenue and RM10.4 million in profit before taxation in 2015 to RM41.8 million in revenue and RM11.8 million in profit before taxation for 2016.

Our cash reserves were maintained at RM110 million, which were invested in unit trust generating earning yields of approximately 3.2% to 4.1% per annum. The collection of trade receivables had also improved significantly.

N2N's capital expenditure in 2016 was around RM5.0 million, and upon the shareholder's approval on the acquisition of AFE on 15 December 2016, there would be a capital commitment to pay the balance purchase consideration of approximately USD18.6 million (equivalent to approximately RM83.4 million) upon completion, which would be partly financed by internally generated fund and equivalent currency bank loan.

In 2016, most of N2N's assets and liabilities are denominated in Ringgit Malaysia, with insignificant exposure to foreign currency risk arising from sales and purchases in Philippines and Singapore. The currencies giving rise to this risk are Singapore Dollar ("SGD") and United States Dollar ("USD"). The exposure in SGD and USD are being hedged by collection from sales in the respective currencies and the net impact on the financial position and cashflows are considered not material to N2N.

Upon completion of the acquisition of AFE by N2N, there would be exposure on the USD bank loan which will be hedged by the operational results of AFE in Hong Kong Dollar ("HKD"). As HKD is pegged against USD, the impact of foreign currency exposure is considered hedged.

Market Overview

Business Monitor International ("BMI") predicted the increment of Information Technology market in Malaysia to the approximate value of RM24.4 billion in 2020, the increment of 5.7% from 2016, with the growth fueled by a supportive economic environment and government policy. The growth in enterprise market is expected to be slightly slower as the corporate customers may be more hesitant as a result of ongoing global economic uncertainty. Despite that, strong growth is expected for security software and services, as well as outsourcing and cloud computing.

Key Trends and Developments

Malaysia's IT market has considerable growth potential throughout the medium term, with opportunities weighted towards software and services, where enterprise demand is expected to be strong. Meanwhile, the hardware segment has a mixed outlook due to increased threat of smartphones cannibalising retail PC sales. Even so, the market will be much stronger in the medium term than it was in 2015, when IT hardware spending declined sharply due to the combination of ringgit depreciation and the introduction of the Goods and Services Tax.

(Source: Malaysia Information Technology Report Q4 2016, Business Monitor International)

Research and Development

N2N's insight and innovative research and development will continue to be the critical factors in enabling N2N to remain being one of the top leader in this constantly evolving financial industry. New Product line such as TcPro Global for Advance Information Services and Trading, TcPlus for Web and TcMobile for Smartphone and Tablet trading together with the new Algorithmic trading and Low Latency Trading Platform are the results of the strong and committed research and development of N2N, and this will ensure N2N's competitiveness in this industry. With the launching of the new BOS System, N2N strives to be Asia's number one Financial Hub provider, with the most comprehensive, advance and integrated system.

Prospects

In 2015, N2N acquired a company specialising in providing Back Office and Settlement System ("BOS System"). A new system integrating this BOS System would be created, and targeted to be launched around Q2 2017, which will increase N2N's market shares in both local and international.

N2N will continue to be actively pursuing suitable merger and acquisition targets which would be complementary to our business activities. N2N has identified the market of Australia, Thailand and Japan as a priority, after the acquisition of AFE in Hong Kong.

As a result of its strong growth, great regional potential and the global Fintech emergence, N2N has attracted additional fund managers and research houses.

DIRECTORS' PROFILE

Mr. Tiang Boon Hwa
54 years of age, Singaporean
Managing Director

Mr. Tiang Boon Hwa is one of the Company's founders and was first appointed to the Board of the Company on 24 August 2000. He obtained his Diploma in Computer Studies from City and Guilds of London Institute, United Kingdom in 1982. His main responsibilities include management of the Group's overall business, technology and financial matters. He started his career as a programmer with SGV Goh Tan Pte Ltd, a Singapore accounting cum software house and was promoted to senior consultant at the age of 25. In 1988, he left SGV Goh Tan Pte Ltd and headed the regional audit division (IT audit) of Citibank N.A South Asia, based in Singapore and was subsequently awarded the Best IT Auditor for Asia Pacific Region in 1989. He joined Computer Associates Pte Ltd in 1990 as an account manager and quickly rose to become the managing director for Computer Associates Pte Ltd's subsidiary in Malaysia in 1992.

Later, he joined i2 Technologies Pte Ltd in 1996 as a regional director to set presence in several Asian countries. In 1998, he joined Exact Software Asia Sdn Bhd to start up the Asia Development Centre. Having gained wide exposure in both information technology and business operations, he began his entrepreneur pursuit by starting N2N, in year 2000 together with several friends. He headed the team in the recent successful acquisition of AFE Solutions Ltd. ("ÄFE"), Hong Kong.

He does not hold any directorships on the Board of other public listed companies in Malaysia.

He is a substantial shareholder of the Company and the spouse of Mdm. Lai Su Ping, the non-independent executive director and substantial shareholder of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 131 of this Annual Report for his securities holding.

Mdm. Lai Su Ping
46 years of age, Malaysian
Non-Independent Executive Director

Mdm. Lai Su Ping is one of the Company's founders and currently an Executive Director handling human resource, office administration and corporate events including corporate social responsibilities. She was first appointed to our Board on 10 August 2000. She obtained her Diploma in Marketing from the Chartered Institute of Marketing, United Kingdom in 1991. She is primarily responsible for the corporate events and public relations of our Company. She started her career in 1988 as a marketing executive for Yvonex Sdn Bhd and later she joined Kumpulan Jetson Berhad as a project executive specialising in events and exhibition organisation. In 1994, she joined Computer Associates (M) Sdn Bhd as a channel manager where she was instrumental in establishing a customer service team as well as setting up channel sales via the appointment of product distributors. She is also one of the steering committee members on the successful acquisition of AFE.

She sits as the Chairperson of the Option Committee. She does not hold any directorships on the Board of other public listed companies in Malaysia.

She is a substantial shareholder of the Company and the spouse of Mr. Tiang Boon Hwa, the managing director and substantial shareholder of the Company. There is no conflict of interest with the Company. Within the last 10 years, she has not been convicted for any offences, other than traffic offences, if any. Please refer to page 131 of this Annual Report for her securities holding.

Ybhg Datuk Tan Boon Leng
51 years of age, Malaysian
Independent Non-Executive Director

Ybhg Datuk Tan Boon Leng was first appointed to the Board of the Company on 15 April 2009. He was a Director of Century Bond Bhd ("Century Bond") group of companies and he has over 32 years of business experience and contributed to the growth and expansion of the business of Century Bond and its subsidiaries especially in the areas of sales and marketing of the Century Bond Group's products. On 23 December 2016, he resigned from the board of Century Bond.

He also sits as a member of the Nomination and Remuneration Committee and Audit Committee.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 131 of this Annual Report for his securities holding.

Mr. Goh Fu Qiang, Kenneth
36 years of age, Singaporean
Independent Non-Executive Director

Mr. Goh Fuqiang, Kenneth was appointed to the Board of the Company on 13 June 2013. He graduated with a Master of Science, Management Science & Engineering from Stanford University and Bachelor of Engineering, Biomedical Engineering from Imperial College London. He is currently a Director of 28 Holdings Pte Ltd since 2010. He was a Director of Corporate Strategic Development at Asiatravel.com, Singapore from 2011 to 2012. Prior to that, he was an Associate with the Government of Singapore Investment Corporation (GIC). He does not hold any directorships on the Board of other public listed companies in Malaysia.

He also sits as the Chairman of the Nomination and Remuneration Committee, and a Member of Audit Committee.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 131 of this Annual Report for his securities holding.

Mr. Oh Kim Sun
68 years of age, Malaysian
Independent Non-Executive Director

Mr. Oh Kim Sun was appointed to the Board of the Company on 8 October 2015.

Mr. Oh is a member of the Malaysian Institute of Certified Public Accountants. Mr. Oh began his career in 1972 with Coopers & Lybrand in London. Subsequently, Mr. Oh held positions as Finance Director of Taiko Plantations Sdn Bhd, Financial Controller of ICI Malaysia and Finance Manager (Secondment) of ICI Headquarters in London responsible for Northern Europe. In 1994, Mr. Oh was appointed as Group Executive Director of Chemical Company of Malaysia Berhad until 2003.

Mr. Oh is a director of Golden Land Bhd, a company listed on the Main Market of Bursa Securities and Nikko Electronics Berhad (in liquidation). He is the Chairman of the Audit Committee of the Company.

He does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, and has no conflict of interest with the Company and has no conviction for any offences within the past ten (10) years other than traffic offences, if any.

Mr. Akio Furuse
46 years of age, Japanese
Non-Independent Non-Executive Director

Mr. Akio Furuse was appointed to the Board of the Company on 7 July 2014.

Mr. Furuse held various posts in QUICK Corp., including Staff of Sales Headquarters (Japan), Assistant Manager of London Branch (United Kingdom), Solutions Manager of Business Planning Department (Japan) and Deputy General Manager of Global Business Department (Japan). He serves as General Manager for Business Development at Nikkei Group Asia Pte. Ltd. (Singapore). He holds a Bachelor Degree in Sociology from Kansai University, Japan. He does not hold any directorships on the Board of other public listed companies in Malaysia.

Mr. Furuse sits as a Member of the Nomination and Remuneration Committee and Option Committee of the Company. He does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, no conflict of interest with the Company and has had no conviction for any offences within the past ten (10) years other than traffic offences, if any.

Ms. Elaine Foong Sooi Jade
41 years of age, Malaysian
Independent Non-Executive Director

Ms. Elaine Foong Sooi Jade was appointed to the Board of the Company on 15 March 2016.

Ms. Foong is a fellow member of The Association of Chartered Certified Accountants, and a member of the Malaysian Institute of Accountants.

She began her career in 1999 with Messrs. KPMG, Malaysia in the audit and assurance division. Subsequently, in 2001, she joined Messrs. Chio Lim & Associates, Singapore as Audit Team Lead. During this time, she led teams for various engagements, including the successful completion of two initial public offerings on the Singapore Stock Exchange.

In 2004, Ms. Foong joined N2N Connect Berhad as Head of Finance Department. She was instrumental in N2N Connect Berhad's successful initial public offering exercise in 2005. During her tenure with the Company, she oversaw the finance, human resource, administrative, legal and compliance functions, and was very actively involved in business restructuring exercises, corporate proposals and strategic planning exercises. She left the Company in February 2014.

Presently, she is co-partner cum chief trainer at the Alam Damai branch of the Pinoki Brain Training network, a Japanese-based whole-brain training program which enhances a child's memory and learning ability. She does not hold any directorships on the Board of other public listed companies in Malaysia.

Ms. Foong sits as a Member of Nomination and Remuneration Committee, Audit Committee and Option Committee.

She does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, and has no conflict of interest with the Company and has no conviction for any offences within the past ten (10) years other than traffic offences, if any.

Mr. Masashi Shindo
56 years of age, Japanese
Non-Independent Non-Executive Director

Mr. Masashi Shindo was appointed to the Board of Company on 30 March 2017.

Mr. Shindo is currently Executive Officer, General Manager of the Global Business Bureau at Nikkei Inc. He joined Nikkei Inc. in 1984 and held various posts as a writer and editor in Tokyo, and Europe as well as a correspondent in Paris, Milan and Vienna before being appointed as a Managing Director (London) at Nikkei Europe Ltd. from 2013 to 2015. He holds a Bachelor of Arts degree (Sociology) from Tokyo University, Japan.

He does not hold any directorships on the Board of other public listed companies in Malaysia.

He does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, no conflict of interest with the Company and has no conviction for any offences within the past ten (10) years other than traffic offences, if any.

Mr. Chua Tiong Hoong
46 years of age, Malaysian
Non-Independent Executive Director
(Resigned on 30 March 2017)

Mr. Chua Tiong Hoong is one of the Company's founders and is currently the Operation Director of the Group. He was first appointed to the Board of the Company on 10 August 2000. He graduated with a Bachelor of Science in Computer Science (Double Major in Mathematics and Computing) degree from the University of Adelaide (Australia) in 1992. His main responsibility includes managing the day-to-day operations focusing on project implementation and technical operations of our Group. He started his career as a network engineer at Applied Business System Sdn Bhd in 1993. He was later responsible for project development and also managing the company's helpdesk. In 1994, he joined MicroForest Systems (M) Sdn Bhd as a project manager to spearhead the implementation of resource planning, point-of-sales and back-end systems for retail and manufacturing industries.

He also supported the multilevel marketing and chemical manufacturing system. From 1997 to 2000, he was with Exact Software Asia Sdn Bhd as an assistant manager responsible for system development, specialising in Enterprise Resources Planning System. He founded N2N together with the founder members in 2000.

He was the Chairman of the Option Committee prior to his resignation. He does not hold any directorships on the Board of other public listed companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 131 of this Annual Report for his securities holding.

Mr. Tetsuya Iguchi
54 years of age, Japanese
Non-Independent Non-Executive Director
(Resigned on 30 March 2017)

Mr. Tetsuya Iguchi was appointed to the Board of the Company on 7 July 2014.

Mr. Iguchi has been Editor-in-Chief, Editorial Headquarters for Asia of Nikkei Inc. and Assistant to Managing Director (Singapore) at Nikkei Group Asia Pte. Ltd. since 2014. He joined Nikkei Inc. in 1985 and held various posts as a writer and an editor including Deputy Managing Editor, Editorial Bureau (Tokyo) at Nikkei Inc from 2013 to 2014 and Editor-in-Chief for the Nikkei Business Daily from 2011 to 2013. He has a B.A. in Political Science, Waseda University, Japan. He does not hold any directorships on the Board of other public listed companies in Malaysia.

Mr. Iguchi was a Member of the Nomination Committee and Option Committee of the Company. He does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/ or major shareholder of the Company, no conflict of interest with the Company and has no conviction for any offences within the past ten (10) years other than traffic offences, if any.

KEY SENIOR MANAGEMENT

Mr. Tiang Boon Hwa
54 years of age, Singaporean
Managing Director

Please refer to the Director's Profile section for Mr. Tiang Boon Hwa's profile.

Mdm. Lai Su Ping
46 years of age, Malaysian
Non-Independent Executive Director

Please refer to the Director's Profile section for Mdm. Lai Su Ping's profile

KEY SENIOR MANAGEMENT

Mr. Chua Tiong Hoong
46 years of age, Malaysian
Operation Director

Mr. Chua Tiong Hoong is one of the Company's founders and was appointed as the Operation Director on 2 January 2004. He graduated with a Bachelor of Science in Computer Science (Double Major in Mathematics and Computing) degree from the University of Adelaide (Australia) in 1992. He started his career as a network engineer at Applied Business System Sdn. Bhd. in 1993. He was later responsible for project development and also managing the company's helpdesk. In 1994, he joined MicroForest Systems (M) Sdn. Bhd. as a project manager to spearhead the implementation of resource planning, point-of-sales and back-end systems for retail and manufacturing industries. He also supported the multilevel marketing and chemical manufacturing system. From 1997 to 2000, he was with Exact Software Asia Sdn. Bhd. as an assistant manager responsible for system development, specialising in Enterprise Resources Planning System.

He does not hold any directorships in public companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Mr. Lim Kok Tean
44 years of age, Malaysian
Technical Director

Mr. Lim Kok Tean is one of the Company's founders and was appointed as the Technical Director on 2 January 2004.

His current responsibilities include designing and developing system architecture and integrated suite of online trading, settlement and financial systems. He graduated with a Bachelor of Science degree in Computer Science from Campbell University, USA in 1996. He started his career as a software engineer in News Page Pte. Ltd., Singapore. He was later transferred to its Malaysian office in 1997 and was involved in system programming for wireless communication systems. He joined Exact Software Asia Sdn. Bhd. in 1999 as a senior software engineer and was involved in enterprise resources planning system. He became a Microsoft certified professional in 1999. He is also one of the Steering committee members on the successful acquisition of AFE.

He does not hold any directorships in public companies in Malaysia.

He has no family relationship with any directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Mr. Chan See Wai
44 years of age, Malaysian
Technical Director

Mr. Chan See Wai is one of the Company's founders and was appointed as the Technical Director on 2 January 2004.

He is responsible for the development and implementation of mobile and internet real-time stock price streaming application and related trading system. In 1993, he began his career in BASS Consulting Sdn. Bhd. as an analyst programmer responsible for feasibility study, design, programming and implementation of the internet online trading system. After that, he joined Federal Computer System Sdn. Bhd. in 1998 and was involved in the designing and implementation of interactive voice response system and tele-banking system. He graduated with a Bachelor of Science degree in Computer Science from Western Michigan University, USA in 1993. He is also one of the Steering committee members on the successful acquisition of AFE.

He does not hold any directorships in public companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Mr. Low Kok Keong
46 years of age, Malaysian
Network Director

Mr. Low Kok Keong was appointed as the Network Director on 26 June 2007.

He is responsible for the implementation and operations of the Wide Area Network (WAN), Data Center and IT Security infrastructure. In 1993, He began his career in Public Bank Securities as a Network Engineer responsible for Front-Office and Back-Office system support. In 2000, He joined OSK Securities as an Assistant Network Manager responsible for network administration/operation support, network architecture and engineering design. He holds a Bachelor Degree in Computer Engineering, CCNP and CEH. In 2004, He joined N2N as a Network Manager.

He does not hold any directorships in public companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

KEY SENIOR MANAGEMENT

Mr. Ang Chun Hsiung
41 years of age, Malaysian
Senior Product Manager

Mr. Ang Chun Hsiung was appointed as the Senior Product Manager on 1 January 2014.

He has years of working experience in the Information Technology (IT) industry. He obtained a Bachelor of Science in Mathematic (Honours) degree from University of Malaya and subsequently obtained a Master degree of Information Technology from the same university. He began his career with Micromatics Sdn. Bhd. as software engineer. Thereafter, he joined Computer Infobase System Sdn. Bhd., a company providing the software solutions of Multi-level Marketing (MLM) companies as senior software engineer.

In 2006, he joined N2N Connect Bhd. as senior software engineer where he was involved in a number of software and system development for capital market solutions. Currently, he is a senior product manager, responsible for the overall software development planning, design & implementation.

He does not hold any directorships in public companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Mr. Lai Wei Suen
44 years of age, Malaysian
Regional Head

Mr. Lai Wei Suen joined N2N Connect Berhad in year 2004 and was appointed as Regional Head on 1 January 2013.

His current responsibilities include developing and managing the regional key accounts. He graduated with a Bachelor of Science degree in Applied Computing from University of Hertfordshire, United Kingdom. He started his career as presales consultant in Cybertouch Sdn. Bhd. Malaysia. In year 2000, he moved to Singapore and joined Finesse Alliance International Pte Ltd. as development lead.

He does not hold any directorships in public companies in Malaysia.

Mr. Lai Wei Suen is the younger brother of Mdm. Lai Su Ping. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Mr. Junior Loh
45 years of age, Malaysian
Head of Sales

Mr. Junior Loh was appointed as Head of Sales on 13 January 2017.

He holds a Bachelor of Science degree (Honours) from the School of Computer Science, University of Manchester United Kingdom and Fellow of the British Computer Society since 2001. He has 20 years of unique blend of technical skills that includes financial services industry domain knowledge, IT infrastructures and business solutions that combined with business management experience and the vision to marry novel technologies with new market opportunities in ASEAN. He joined N2N Connect Bhd. in 2014 as Head of Back Office Solutions.

He does not hold any directorships in public companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Mr. Jimmy Tan Kian Keong
55 years of age, Malaysian
Business Process Control Manager

Mr Jimmy Tan Kian Keong was appointed as the Business Process Control Manager on 1 December 2009.

His responsibilities include formulating, training, supporting, implementing and enforcing best practices, namely CMMI and ISO 27001 at organizational level. He has more than 30 years of working experience in the Architecture, Engineering and Construction (AEC) and Information Technology (IT) industry. He obtained his Diploma in Training & Development from Leicester University. He completed a 2-year architectural draughtsmanship course at Federal Institute of Technology (FIT) and a 3-year architectural technician course at Technical College of Malaysian Institute of Architects. Having work in the AEC industry for 10 years, he moved to the IT vendor market for 5 years, including managing an Authorized Autodesk Training Center (ATC) and Lotus Authorized Education Center (LAEC). Thereafter, he took up project management roles at Agra Baymont Sdn. Bhd. for 6 years on Geographical Information System (GIS) projects and at CMS I-Systems Bhd. for 5 years on Insurance projects prior to joining N2N Connect Bhd.

He does not hold any directorships in public companies in Malaysia.

KEY SENIOR MANAGEMENT

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Mr. Danny Lee Tuck Lon
31 years of age, Malaysian
Head of Legal

Mr. Danny Lee Tuck Lon joined N2N Connect Berhad in 2012 and was appointed as the Head of Legal on 1 January 2015.

He started his career as a legal executive in 2009 with an international firm and later joined KK Supermart & Superstores Sdn Bhd in 2011, handling all the legal related matters. He holds a Bachelor of Law degree from University of London.

He does not hold any directorships in public companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Ms. Francesca Chong
42 years of age, Malaysian
Senior Finance Manager

Ms Francesca Chong was appointed as the Senior Finance Manager on 20 October 2015.

She started her career with BDO Binder for almost 6 years. She then joined public listed companies as Group Accountant responsible for group, statutory reporting and compliance. She was seconded to the German office for about 2 years where she was involved in projects such as transfer pricing, inventories and sales analysis and group reporting. Later on, she joined Axis Real Estate Investment Trust as Finance Manager for around 2 years prior to joining N2N Connect Bhd.. She holds a Master of Business Administration in Financial Studies from University of Nottingham in Malaysia and is a Fellow member of the Association of Chartered Certified Accountants (ACCA), United Kingdom.

She does not hold any directorships in public companies in Malaysia.

She has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, she has not been convicted for any offences, other than traffic offences, if any.

EVENT HIGHLIGHTS

Chinese New Year Open House Celebrations

12 February

Advanced Learning Capital Market System Training

06 April

Annual General Meeting (AGM)

24 May

"Do Good Community Project"
Recycling Activities

Long Term

Treasure Hunt & Team Building @ Kuantan

01-03 October

Majlis Berbuka Puasa Celebrations

29 June

"Do Good Community Project"
Blood Donation Campaign

27 April 09 November

Bowling Tournament

27 August

"Do Good Community Project"
Tree Planting Activity

22 October

Extraordinary General Meeting
(EGM)

15 December

N2N Christmas Party Celebrations

16 December

CORPORATE GOVERNANCE STATEMENT

THE CODE

The Board of Directors ("the Board") of N2N Connect Berhad ("Company") acknowledges that Corporate Governance is a form of self-regulation which is aimed at maximising shareholders' value. The Board strives to achieve the best practices in Corporate Governance as outlined by the Malaysian Code on Corporate Governance 2012 (the "Code") in carrying out its duties and responsibilities.

The Company has adopted a number of measures to ensure effectiveness of the Board in discharging its duties and responsibilities.

THE BOARD OF DIRECTORS

The Group is led and controlled by an effective Board consisting of professionals and competent individuals of caliber with diverse backgrounds, expertise and experience in various fields such as business, technical, marketing and finance considered suitable for managing the Group's businesses. The appointment of Independent Non-Executive Directors who are not members of the management will ensure that they are free of any relationship which could interfere with the exercise of independent judgement or ability to act in the best interests of the Group ensuring that any decision of the Board is deliberated fully and objectively with regard to the long term interest of all stakeholders. The Executive Directors, representing the Management, are responsible for implementing the corporate strategies and management of day-to-day operations of the business.

The Board currently consists of eight (8) Directors, four (4) of whom are Independent Non-Executive Directors, and two (2) Non-Independent Non-Executive Directors. The Board composition is in compliant with the ACE Market Listing Requirements ("ACE LR") where at least one-third of the Board comprises of Independent Directors.

The Chairman is responsible to ensure that the Board functions properly with appropriate corporate governance practices and procedures, whilst the Managing Director is responsible for the day-to-day operations and business activities of the Group. This is to ensure a balance of power and authority. The Company is currently looking for a suitable candidate to fill the position of chairmanship arising from the retirement of the previous Chairman. In the meantime, the Managing Director or the Executive Directors have been chairing the Board Meetings.

Within the powers accorded by the Company's Constitution, the Board is charged with amongst others, the development of corporate objectives and the review and approval of corporate plans, overseeing the conduct of the Company's business, acquisitions and disposal of undertakings and properties of substantial value, major investments and financial decisions and changes to the management and control structure within the Group including key risk management, treasury, financial and operational policies and delegated authority limits.

Board Meetings

During the financial year ended 31 December 2016, five (5) Board Meetings were held. The Directors' attendance records at these Board Meetings are as follows:

Directors	Attendance at the Board Meetings held during the financial year ended 31 December 2016
Tiang Boon Hwa (Managing Director)	5/5
Lai Su Ping (Non-Independent Executive Director)	5/5
Datuk Tan Boon Leng (Independent Non-Executive Director)	4/5
Goh Fuqiang, Kenneth (Independent Non-Executive Director)	5/5
Akio Furuse (Non-Independent Non-Executive Director)	5/5
Oh Kim Sun (Independent Non-Executive Director)	4/5
Elaine Foong Sooi Jade (Independent Non-Executive Director) *(Appointed on 15 March 2016)*	4/4
Masashi Shindo (Non-Independent Non-Executive Director) *(Appointed on 30 March 2017)*	N/A
Chua Tiong Hoong (Non-Independent Executive Director) *(Resigned w.e.f. 30 March 2017)*	5/5
Tetsuya Iguchi (Non-Independent Non-Executive Director) *(Resigned w.e.f. 30 March 2017)*	5/5

Directors' Training and Continuing Education Program

The Board is constantly encouraged to attend programmes and seminars to keep abreast with the latest development in the industry and market place.

All members of the Board except for Mr Masashi Shindo who was appointed on 30 March 2017, have attended the Mandatory Accreditation Programme prescribed by Bursa Securities. Apart from attending various conferences and seminars organised by external organizers, the Board also benefited from technical briefings which were conducted by in-house professionals. The following seminars, trainings, forums and conferences were attended by the Directors for the financial year ended 31 December 2016 for continuous professional development:

Tiang Boon Hwa	– N2N Bootcamp – Coffee Chat for GAIN MSC Status Companies by MDEC – Fraud Risk Management Workshop by Bursa Malaysia – What makes Good, Bad and Ugly Corporate Governance Reporting by Bursa Malaysia – RHB Luncheon Event – Opportunities in Alternative Investments – GAIN Ideas Xchange- MDEC CEO Leadership Forum – MDEC Events – Grant Recipients Meetup #2 : Smart Partnerships with Research Partners and COEs – SV21 Dialogue on Talent with MDEC Chairman – Taylors College Stock Challenge Workshop – Team Working and Management Programme by Orange Consulting – The Opportunities of Globalisation and Digital Connectivity by INTI – GAINS Ideas Exchange Forum 2016 – Hyper Growth : Reality Check by MDEC – Bank Negara New FOREX ruling Talk by MDEC
Lai Su Ping	– N2N Bootcamp – Fraud Risk Management Workshop by Bursa Malaysia – What makes Good, Bad and Ugly Corporate Governance Reporting by Bursa Malaysia – RHB Luncheon Event – Opportunities in Alternative Investments – Seminar by Reinvented Event – MDEC Events – Grant Recipients Meetup #2 : Smart Partnerships with Research Partners and COEs – Taylors College Stock Challenge Workshop – Team Working and Management Programme by Orange Consulting – The Opportunities of Globalisation and Digital Connectivity by INTI

Chua Tiong Hoong	– N2N Bootcamp – Malaysia : The Rise of Fintech by Australian Trade Commission – Coffee Chat for GAIN MSC Status Companies by MDEC – Fraud Risk Management Workshop by Bursa Malaysia – HPE Synergy Composable Infrastructure Tour by Hewlett Packard – MDEC Events – Grant Recipients Meetup #2 : Smart Partnerships with Research Partners and COEs – New Market : Meeting with Bursa Malaysia – Team Working and Management Programme organized by N2N – APICTA 2016 Awards Briefing by PIKOMAPICTA 2016 International in Taipei by PIKOM
Datuk Tan Boon Leng	– Boardroom Critical Agenda for PLC's Directors by Smart Focus Consulting
Goh Fuqiang, Kenneth	– Credit Suisse Market Outlook Seminar
Akio Furuse	– ASEAN Business and Investment Summit (Global Megatrends and their Impact on the AEC) – IHS Markit Nikkei Asia Economic Forum – Future of Manufacturing Industry Seminar – World Bank Singapore Infrastructure Finance Summit – 21st ASEAN Banking Conference
Tetsuya Iguchi	– Asia 300 Management Forum
Oh Kim Sun	– Bank of Singapore – Year Ahead Market Outlook 2016 – Credit Suisse – Automatic Exchange of Information Seminar – Director's Breakfast Series – Ring the Bell for Gender Equality by Bursa Malaysia – Wealth Planning Seminar by Standard Chartered Bank – UEM Sunrise – TRESOR event : Be Diamond, Be Rewarded – Corporate Governance Update 2016 – Talk by Golden Land – Mid Year Outlook (Investing in a turbulent world) by Bank of Singapore – Half day of Corporate Governance Breakfast Series with Directors (Future of Auditor Reporting The Game Changer for Boardroom) by Bursa Malaysia – Credit Suisse Market Outlook Dinner Seminar
Elaine Foong Sooi Jade	– Mandatory Accreditation Programme

The Board will continue to identify other training programs that can further enhance its knowledge in the latest development relevant to the Group to enable it to discharge its responsibility effectively.

Re-Election of Directors

In accordance with the Company's Constitution, at least one-third of the Board, including the Managing Director, shall retire and is subject to re-election and each Director shall stand for re-election at least once every three (3) years.

None of the Independent Directors have served for a cumulative term of 9 years as at the date of this report.

Board Effectiveness Assessment

An assessment of the effectiveness of the Independent Directors, Executive Directors, Board Committees and the Board as a whole, is carried out annually. The objective is to improve the Board's effectiveness by identifying gaps, maximise strengths and address weaknesses. The Chairman of the Nomination Committee oversees the overall evaluation process, and the responses are analysed by the Nomination Committee before being tabled and discussed at the Board level. Further details on the assessment of the Board of Directors are disclosed in the Nomination Committee Statement.

Directors' Remuneration

(i) Executive Directors

The Company's policy on remuneration for the Executive Directors remains similar to previous years to ensure that the level of remuneration is generally set to attract, retain and motivate Executive Directors to competently manage the Company. The component of the remuneration are therefore structured to link the remuneration package with corporate and individual performance of the same industry.

The Remuneration Committee reviews and recommends the remuneration package of the Executive Directors for the Board's approval and it is the responsibility of the Board as a whole to approve the total remuneration package of the Executive Directors, giving due consideration to laws and corporate governance principles. The current remuneration policy of the Executive Director consists of basic salary, performance-linked bonus, benefits-in-kind, EPF contributions and share awards/share options respectively based on the recommendation of the Remuneration Committee.

(ii) Non-Executive Directors

The Company's Non-Executive Directors are remunerated with fees in accordance with the experience, expertise and level of responsibilities undertaken by the Non-Executive Directors concerned based on industry standards. Non-Executive Directors are not entitled to share options, performance based pay or bonuses, in order to maintain their independence and impartiality. The remuneration of all Directors is decided by the Board collectively after a review by the Remuneration Committee. Individual Directors do not participate in decisions regarding his/her remuneration package.

Appointments to the Board

The selection, nomination and appointment of suitable candidates to the Board of N2N follow a transparent process.

Review of candidates for Board appointment is delegated to the Nomination Committee. In conducting this review, the Nomination Committee will carry out the following processes in assessing the existing composition of the Board and its collective strength vis-à-vis the candidate's skillsets, expertise, experience as well as the integrity, existing commitments and potential conflict of interests:

i. Identify Gaps /Vacancy
ii. Identification of Candidates
iii. Evaluation of Suitability of Candidates
iv. Interview Shortlisted Candidates
v. Final Deliberation by Nomination Committee
vi. Recommendation to the Board for appointment

Protocols for accepting new directorships and time commitment

The Company obtains a letter from the Directors outlining their time commitment in carrying out their responsibilities.

Before acceptance of any new directorship in other public listed companies, a notification must be given by the Director(s) to the Chairman of the Board to firstly ensure that sufficient time will be allocated to the Company for him/her to perform his/her roles and responsibilities, and secondly to consider if there is any potential conflict of interests arising out of the acceptance of the new directorship.

SUPPLY OF INFORMATION

The Directors will be provided with all relevant information in sufficient time, prior to the date of scheduled Board Meetings. Information provided to the Directors will ease their decision making process and discharge of their duties. In addition, all board members are able to seek professional advice when necessary in furtherance of their duties.

The Directors are also regularly updated by the Company Secretaries on new statutory and regulatory requirements concerning their duties and responsibilities as and when necessary. All Directors have direct access to the advice and services of the Company Secretaries who ensure that all appointments are properly made and that all necessary information is obtained from the Directors in order to ensure compliance with ACE LR and other regulatory requirements.

STRATEGIES PROMOTING SUSTAINABILITY

The Board promotes and applies good Corporate Governance in its sustainability practices recognising that the benefits would translate into better corporate performance. A detailed report on sustainability activities, demonstrating the Company's commitment to the environment, social, governance and sustainability agenda, is presented in the Corporate Social Responsibility Statement of this Annual Report.

BOARD CHARTER

The Board Charter is posted on the Company's website. This Board Charter includes the division of responsibilities and powers between the Board and Management as well as the different committees established by the Board.

CODE OF CONDUCT

The Code of Conduct ("COC") is posted on the Company's website. The Board recognises the importance to promote and reinforce ethical standards throughout the Group. The Company will continuously support, promote and ensure compliance to the COC. The COC will not only apply to every employee of the Group, but also to every Director (executive and non-executive). Furthermore, the Company will strive to ensure our consultants, agents, partners, representatives and others performing work or services for or on behalf of the Company comply with the COC.

BOARD COMMITTEES

The Board has established the following committees:

(i) Nomination Committee

The Nomination Committee is established to act as a Committee of the Board to oversee the appointment of new Board and Board Committee members as well as to assist the Board in reviewing on an annual basis the appropriate balance and size of the Board, its effectiveness as a whole, the performance of Board Committee and contribution of each Director.

Further details on the Nomination Committee is disclosed in the Nomination Committee Statement on page 41 of this Annual Report.

(ii) Remuneration Committee

The Remuneration Committee acts as a Committee of the full Board to assist in assessing the remuneration of the Directors reflecting the responsibility and commitment undertaken by the Board membership.

This Committee was chaired by Ybhg Datuk Tan Boon Leng and the other members include Mr Goh Fuqiang, Kenneth and Mr Akio Furuse.

In general, the Remuneration Committee shall not have delegated powers from the Board to implement its recommendations but shall be obliged to report its recommendations to the full Board for consideration and implementation.

BOARD COMMITTEES (CONTINUED)

(ii) Remuneration Committee (Continued)

In carrying out its duties and responsibilities, the Remuneration Committee has:

(a) full, free and unrestricted access to any information, records, properties and personnel of the N2N Group; and

(b) the power to obtain independent professional advice and expertise necessary for the performance of its duties.

All members of the Remuneration Committee have access to the advice and services of the Company Secretary and Head of Human Resources.

The Remuneration Committee meets as and when necessary and may decide by way of circular resolutions. The Remuneration Committee held one (1) meeting during the financial year ended 31 December 2016 with full attendance.

At the Board of Directors' Meeting held on 30 March 2017, the Board of Directors agreed and approved to merge the Nomination and Remuneration Committee. The Members of the merged Committee are as follows:

- Mr Goh Fuqiang, Kenneth (Chairman)
- Datuk Tan Boon Leng
- Ms Elaine Foong Sooi Jade
- Mr Akio Furuse

(iii) Option Committee

The Company's Share Option Scheme ("ESOS") had expired on 22 December 2015.

This Committee was chaired by Mr Chua Tiong Hoong and the other members include Mr Akio Furuse and Mr Tetsuya Iguchi.

Due to the resignation of Mr Chua Tiong Hoong and Mr Tetsuya Iguchi on 30 March 2017, the composition of the Option Committee is as follows:

- Mdm Lai Su Ping (Chairperson)
- Mr Akio Furuse
- Ms Elaine Foong Sooi Jade

(iv) Audit Committee

The Audit Committee is established by the Board to oversee audit and financial reporting compliance matters of the Group. The Board has presented its Audit Committee Report on pages 36 to 40 of this Annual Report providing greater details of the activities undertaken by the Audit Committee during the financial year.

DIRECTORS' REMUNERATION

Details of the remuneration of Directors for the financial year are as follows:

(i) Aggregate remuneration of Directors categorised into appropriate components:

	Executive RM	Non-Executive RM
Fees	157,500	178,125
Salaries and bonuses	2,494,922	–
Total	2,652,422	178,125

(ii) Number of Directors whose remuneration falls into the following bands:

Remuneration Band	No of Directors Executive	No of Directors Non-Executive
RM1,001 – RM50,000	–	3
RM50,000 – RM100,000	–	1
RM200,001 – RM400,000	2	–
Above RM1,000,001	1	–
Total number of directors	3	4

SHAREHOLDERS COMMUNICATION AND INVESTORS RELATIONS POLICY

Dialogue between the Company and Investors

The Company recognises the importance of being accountable to its shareholders and investors through maintenance of an open communication policy. In ensuring effective communication, the Company communicates with its shareholders and investors through various means and forums such as the annual report, company visits, site visits, shareholders' meetings, exhibition and other Group activities.

Any information that may be regarded as undisclosed material information about the Group will not be given to any single shareholder or shareholder group. To ensure that shareholders and investors are well informed of major developments of the Group, information is disseminated to shareholders and investors through various disclosures and announcements to Bursa Securities which include quarterly financial results and press release from media. Such disclosures and announcements, as well as information pertaining to corporate governance are also available on the Company's website: www.n2nconnect.com.

At each Annual / Extraordinary General Meeting, Executive Directors and, where appropriate, the Chairman is available to respond to shareholders' questions during the meeting.

Annual General Meeting

Notice of the Annual General Meeting and Annual Reports are sent out to shareholders at least 21 days before the date of the meeting.

Besides the normal agenda for Annual General Meeting, the Board also provides opportunities for shareholders to raise questions pertaining to the business activities of the Group. All Directors are available to provide responses to shareholders' questions during these meetings.

ACCOUNTABILITY AND AUDIT

Financial Reporting

The Board takes responsibility for presenting a balanced and meaningful assessment of the Group's operations and prospects each time it releases its quarterly and annual financial results. The Board is assisted by the Audit Committee to oversee the Group's financial reporting processes and the quality of its financial reporting. The Statement by Directors pursuant to Section 169(15) of the Companies Act, 1965 is set out on page 56 of this Annual Report.

Directors' Responsibility in Financial Reporting

In preparing the financial statements of the Group for the financial year ended 31 December 2016, the Directors have:

- Adopted suitable accounting policies and then apply them consistently;
- Made judgements and estimates that are reasonable and prudent;
- Ensured compliance with applicable accounting standards;
- Prepared financial statements on the going concern basis unless otherwise stated; and
- Ensured proper maintenance of accounting records, disclosing reasonable accuracy in the financial position of the Group.

The Directors are also responsible for safeguarding the assets of the Group and taking reasonable steps to ensure that appropriate system are in place to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.

Risk Management and Internal Control

The Board of Directors is responsible to maintain a sound system of risk management and internal controls in order to safeguard shareholders' investment and the Group's assets. The main elements of this system are designed to manage rather than eliminate the risk of failure to achieve business objectives and can only provide reasonable and not absolute assurance against material misstatement or loss. Further details of the Group's risk management and internal control systems are elaborated under the Statement on Risk Management and Internal Control by the Directors as set out on pages 33 to 35 of this Annual Report.

Relationship with the Auditors

The Board, through the Audit Committee, maintains a transparent and formal relationship in the appointment and resignation of the external auditors and reviews the external auditors' plan, report and procedures and the assistance given by the Group's employees to the external auditors.

The Audit Committee undertakes an annual assessment of the suitability and independence of the external auditors. The Audit Committee meets with the external auditors at least twice a year to discuss their audit plan, audit findings and the Company's financial statements. At least one of these meetings is held without the presence of the Executive Directors and the Management.

In addition, the external auditors are invited to attend the Annual General Meeting of the Company and are available to answer shareholders' questions on the conduct of the statutory audit and the preparation and contents of their audit report.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

1. INTRODUCTION

The Board of Directors ("Board") of N2N Connect Berhad recognises the importance of good corporate governance practices and is committed to maintaining a sound risk management and internal control systems to safeguard shareholders' investment and the Group's assets. The Board is pleased to set out below the Board's Statement on Risk Management and Internal Control ("Statement") which is prepared in accordance with Rule 15.26(b) of the ACE Market Listing Requirements, Malaysian Code on Corporate Governance 2012 and as guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers ("Guidelines"). This Statement outlines the state and scope of risk management and internal control of the Group. The Group does not have material associates and joint ventures that need to be dealt with and considered in making this Statement.

2. BOARD RESPONSIBILITY

The Board affirms its overall responsibility for the Group's systems of risk management and internal control and for reviewing the adequacy and integrity of the systems. It should also be appreciated that the systems of risk management and internal control are designed to manage and control risks appropriately rather than a definitive system designed for the total avoidance of risks or for eliminating the risk of failure. The systems of risk management and internal control covers not only financial control but also operational, commercial and compliance controls. The Board believes that this is a continuing process and more importantly, a concerted effort by all employees of the Group in making sure these controls are in place. The Executive Board Members and Management will continue taking necessary measures to strengthen its risk management and internal control systems to address any weaknesses identified.

3. RISK MANAGEMENT FRAMEWORK

Management is an integral and critical part of risk management in the operations of the Group. The experience, knowledge and expertise of management in identifying, assessing, monitoring and managing risks which are in place throughout the financial year under review, enables the Group to make cautious, mindful and well-informed decisions through formulation and implementation of requisite action plans and monitoring regime which are imperative in ensuring the accomplishment of the Group's objectives. Day to day operations in respect of financial, commercial, legal compliance and operational aspects of the Group are closely monitored by the respective Heads of Department and they are delegated with the responsibilities to identify and manage these risks as part of their job functions. The deliberation of risks and mitigation responses are discussed at periodic management meetings. The Company has commenced its process of establishing an Enterprise-Wide Risk Management Program ("ERM") to enhance current management process in risk management. The key features of ERM framework are as follows:

- It defines the risk management policy of the Group covering the formal processes for risk identification, assessment, measurement, mitigation as well as the Group's risk appetite and oversight responsibilities of the Board;
- It outlines the ERM methodology on the identification of key business risks through a structured approach and to determine if controls are in place in mitigating the risks identified; and
- It establishes guidelines to enable Management to prioritise the risks and allocation of resources to manage the risks. The management of risks is an on-going process to identify, evaluate and manage the significant risks faced by the Group. The Board shall re-evaluate the existing risk management practices, and where appropriate and necessary, revise such practices accordingly.

4. KEY INTERNAL CONTROL ELEMENTS

The key element of the Group's Internal Control System includes:

- Clearly defined terms of reference, authorities and responsibilities of the various committees which includes the Audit Committee, Nomination Committee and Remuneration Committee;
- Well defined organisational structure with clear lines of authority, accountability and responsibilities of Management team;
- The Group's performance is monitored regularly and the business objectives and plans are reviewed in the management meetings attended by division and business unit heads. The Managing Director and Executive Directors meet regularly with Senior Management to consider the Group's financial performance, business initiatives and other management and corporate issues;
- Management reports and accounts are generated in respect of the business and operating units that enable proper review of the operations and financials. These reports and accounts are prepared timely and on a monthly basis and is reviewed by the Managing Director, Executive Directors and Senior Management;
- The Managing Director, Business Operations Director and Senior Management are closely involved in the running of business and operations of the Group. They report to the Board on significant changes in the business and external environment which may affect the operations of the Group at large;
- The Board meets at least quarterly and has a formal agenda on matters for discussion. Board papers are distributed in advance to all Board members who are entitled to receive and access all necessary and relevant information. Decisions of the Board are only made after the required information is made available and deliberated on by the Board. The Board maintains complete and effective control over the strategies and direction of the Group;
- Review of all proposals material capital and investment opportunities are done by the Executive Directors and subject to Board deliberation and approval ;
- Review by the Audit Committee of internal control issues identified by the External and Internal Auditors and actions taken by Management in respect of the findings arising therefrom.
- The presence of the Internal Audit function reporting directly to the Audit Committee. Findings are communicated to Management and the Audit Committee with recommendations for improvements. Follow-up audit is conducted to confirm that all agreed recommendations are implemented. The Internal Audit plan is developed in consultation with the Audit Committee and Management on the risky areas and is reviewed and approved by the Audit Committee; and
- The professionalism and competency of staff are enhanced through training and development programs. A performance management system is in place with established key performance indicators to measure and review staff performance on an annual basis.

5. INTERNAL AUDIT

The Company has outsourced its internal audit function to a professional consulting firm. The Internal Auditors report independently and directly to the Audit Committee in respect of its function in accordance with the approved internal audit plan. All audit findings arising therefrom are reported to the Audit Committee on quarterly basis.

The Internal Auditors has complete and unrestricted access to all documents and records of the Group necessary in the performance of its function and independently reviews the control procedures implemented by Management for the key activities of the Group. The Internal Auditors carry out periodic assignments to ascertain if the policies and procedures established by the Board are complied with by Management.

All reports and findings arising from internal audit reviews are discussed with the respective process custodians prior to presentation of a formal report to the Audit Committee. The Internal Auditors also provide improvement recommendations for the consideration of Management and the Board as part of the continuous development of a more efficient and comprehensive internal control environment.

The total cost incurred on internal audit for the financial year ended 31 December 2016 was RM36,450 (2015: RM12,500).

6. ASSURANCE FROM MANAGEMENT

The Board has also received reasonable assurance from the Managing Director, who is also the Director responsible for the financial management of the Company, that the Group's risk management and internal control system are operating adequately and effectively, in all material aspects.

7. REVIEW BY EXTERNAL AUDITORS

Pursuant to Rule 15.23 of the ACE Market Listing Requirements, the External Auditors have reviewed the Statement on Risk Management and Internal Control for inclusion in the Annual Report for the financial year ended 31 December 2016. Their review was performed in accordance with Recommended Practice Guide 5 (Revised 2015): Guidance for Auditors on Engagements to Report on the Statement on Risk Management and Internal Control included in the Annual Report, issued by the Malaysian Institute of Accountants. The External Auditors have reported to the Board that nothing has come to their attention that causes them to believe that this Statement is not prepared, in all material respects, in accordance with the disclosures required by paragraph 41 and 42 of the Guidelines , nor is factually inaccurate.

8. CONCLUSION

For the year under review, the Board is of the view that the systems of risk management and internal control are adequate and effective. There were no material weakness and/or reported shortfall in the risk management practices and internal control system which have resulted and/or given rise to any material loss, contingency and/or uncertainty during the financial year under review and up to the date of approval of this statement. Nevertheless, the Board also recognises the fact that the Group's systems of risk management and internal control must continuously evolve to support the growth and dynamics of the Group as well as to meet the changing and challenging business environment. As such, the Board, in striving for continuous improvement, will put in place appropriate action plans to further enhance the system of internal controls and risk management practices.

This Statement was approved by the Board on 30 March 2017.

AUDIT COMMITTEE REPORT

The Board of Directors of N2N Connect Berhad is pleased to present the report of the Audit Committee for the financial year ended 31 December 2016.

Members and Meetings

The Members of the Audit Committee comprises the following directors.

	Composition of the Audit Committee	Attendance at the Committee Meetings held during the financial year ended 31 December 2016
Chairman	Oh Kim Sun (Independent Non-Executive Director)	5/6
Member	Datuk Tan Boon Leng (Independent Non-Executive Director)	4/6
Member	Goh Fuqiang, Kenneth (Independent Non-Executive Director)	6/6
Member	Elaine Foong Sooi Jade (Independent Non-Executive Director) (appointed on 15 March 2016)	4/4

TERMS OF REFERENCE OF THE AUDIT COMMITTEE

COMPOSITION

(1) The Company must appoint an audit committee from amongst its directors which fulfils the following requirements:-
   (a) the Committee must be composed of no fewer than 3 members;
   (b) all the Committee members must be non-executive directors, with majority of them being independent directors;
   (c) at least one member of the Committee:-
      (i) must be a member of the Malaysian Institute of Accountants; or
      (ii) if he is not a member of the Malaysian Institute of Accountants, he must have at least 3 years working experience and:-
         - he must have passed the examinations specified in Part I of the 1st Schedule of the Accountants Act 1967; or
         - he must be a member of one of the associations of accountants specified in Part II of the 1st Schedule of the Accountants Act 1967.
      (iii) fulfills such other requirements as prescribed or approved by the Exchange.

(2) No alternate Director shall be appointed as a member of the Committee.

(3) The members of the Committee shall elect a Chairman from amongst themselves who shall be an independent director.

(4) In the event of any vacancy in the Committee resulting in the non-compliance of Rules 15.09(1) of the ACE Market Listing Requirements, the Company must fill the vacancy within 3 months.

QUORUM

The quorum of the Committee shall be two (2) of whom the majority of members present shall be independent Directors.

ATTENDANCE AND MEETINGS

The Committee may invite any member of the management, employees, other Directors and representatives of the internal and external auditors to be present at meetings of the Committee. The Committee shall meet at least four (4) times a year and such additional meetings as the Chairman shall decide in order to fulfill its duties. In addition, the Chairman may call a meeting of the Committee if a request is made by any Committee member, the Company's Managing Director, or the internal or external auditors.

FUNCTIONS

The Committee must, amongst others, discharge the following functions:-

(1) review the following and report the same to the Board of Directors:

- (a) with the external auditor, the audit plan;
- (b) with the external auditor, his evaluation of the system of internal controls;
- (c) with the external auditor, his audit report;
- (d) the assistance given by the employees of the Company to the external auditor;
- (e) the adequacy of the scope, functions, competency and resources of the internal audit functions and that it has the necessary authority to carry out its work;
- (f) the internal audit programme, processes, the results of the internal audit programme, processes or investigation undertaken and whether or not appropriate action is taken on the recommendations of the internal audit function;
- (g) the quarterly results and financial year end financial statements, prior to the approval by the Board of Directors, focusing particularly on:-
  - (i) changes in or implementation of major accounting policy changes;
  - (ii) significant matters highlighted including financial reporting issues, significant judgements made by Management, significant and unusual events or transactions, and how these matters are addressed; and
  - (iii) compliance with accounting standards and other legal requirements;
- (h) any related party transaction and conflict of interests situation that may arise within the Company or Group including any transaction, procedure or course of conduct that raises questions of management integrity;
- (i) any letter of resignation from the external auditors of the Company; and
- (j) whether there is reason (supported by grounds) to believe that the Company's external auditor is not suitable for re-appointment; and

(2) recommend the nomination of a person or persons as external auditors.

PROCEDURE

The Committee may regulate its own procedure, in particular:-

(a) the calling of meetings;
(b) the notice to be given of such meetings;
(c) the voting and proceedings of such meetings;
(d) the keeping of minutes; and
(e) the custody, production and inspection of such minutes.

AUDIT COMMITTEE REPORT

The Company must ensure that its Board of Directors prepare an Audit Committee report at the end of each financial year that complies with the following:-

(1) The Audit Committee Report must be clearly set out in the annual report of the Company.

(2) The Committee report must include the following:-

(a) the composition of the Committee, including the name, designation (indicating the chairman) and directorship of the members (indicating whether the directors are independent or otherwise);
(b) the number of Committee meetings held during the financial year and details of attendance of each Committee member;
(c) a summary of the work of the Committee in the discharge of its functions and duties for that financial year of the Company and how it has met its responsibilities; and
(d) a summary of the work of the internal audit function.

RIGHTS OF THE AUDIT COMMITTEE

The Committee must ensure that wherever necessary and reasonable for the performance of its duties, the Committee must, in accordance with a procedure to be determined by the Board of Directors and at the cost of the Company:-

(a) have authority to investigate any matter within its terms of reference;
(b) have the resources which are required to perform its duties;
(c) have full and unrestricted access to any information pertaining to the Company;
(d) have direct communication channels with the external auditors and person(s) carrying out the internal audit function or activity;
(e) be able to obtain independent professional or other advice; and
(f) be able to convene meetings with the external auditors, the internal auditors or both, excluding the attendance of other directors and employees of the Company, whenever deemed necessary.

REPORTING OF BREACHES TO BURSA SECURITIES

Where the Committee is of the view that a matter reported by it to the Board of Directors of the Company has not been satisfactorily resolved resulting in a breach of the ACE Market Listing Requirements, the Committee shall promptly report such matter to the Exchange.

REVIEW OF THE AUDIT COMMITTEE

The Nomination Committee of the Company must review the term of office and performance of the Committee and each of its members annually to determine whether the Committee and members have carried out their duties in accordance with their terms of reference.

The relevant performance evaluation forms have been sent to the Directors for their feedback/comments on the Audit Committee and its members. Based on the performance evaluation conducted, the Nomination Committee was satisfied with the performances of the Audit Committee and its Members.

SECRETARY

The Secretary to the Committee shall be the company secretary.

SUMMARY OF THE WORK OF THE AUDIT COMMITTEE

The Audit Committee carried out the following in discharging its functions and duties during the financial year ended 31 December 2016:

(i) Reviewed and recommended the appointment of the Internal Auditors;

(ii) Reviewed the unaudited quarterly financial results and announcements, including the analysis of performance for each quarter presented by the Management;

(iii) Reviewed the draft audited financial statements for the financial year ended 31 December 2015 and its compliance to the financial reporting standards, and discussed with the external auditors in relation to new and revised audit reporting standards, audit issues, audit reports, assistance provided by the Management and the management letter;

(iv) Reviewed the related party transactions arising within the Company and/or the Group;

(v) Reviewed the Statement on Risk Management and Internal Control and Audit Committee Report for inclusion in the Annual Report 2015;

(vi) Recommended to the Board the re-appointment of the external auditors (considered criteria such as caliber, qualification, audit team, independence and audit scope) for the financial year ended 31 December 2016 and their audit fees;

SUMMARY OF THE WORK OF THE AUDIT COMMITTEE (CONTINUED)

(vii) Considered and approved the Internal Audit Plan 2016 to 2017;

(viii) Considered and approved the External Auditors' Audit Planning Memorandum for the financial year ended 31 December 2016; and

(ix) Reviewed the Internal Audit Report on the critical operational areas of the Group.

INTERNAL AUDIT FUNCTION

The internal audit reviews were undertaken to provide independent assessments on the adequacy, efficiency and effectiveness of the Group's internal control systems. The Audit Committee has full and direct access to the Internal Auditors, reviews the audit reports and directs Management for the necessary corrective actions and process improvements.

For the financial year ended 31 December 2016, the Group outsourced its internal audit function to an external independent party, IA Essential Sdn Bhd. The Internal Auditors had reviewed the internal control systems of the Company according to the risk-based internal audit plan which had been approved by the Audit Committee. The key areas covered were as follows:

- Quarterly Result Disclosures
- Sales & Credit Control
- Follow up Audit

The costs incurred for this internal audit function was RM36,450.

NOMINATION COMMITTEE STATEMENT

The Board of Directors of N2N Connect Berhad is pleased to present the report of the Nomination Committee ("the Committee") for the financial year ended 31 December 2016.

The Committee was established to act as a Committee of the Board to oversee the appointment of new Board and Board Committee members, as well as to assist the Board in reviewing on an annual basis the appropriate balance and size of the Board, its effectiveness as a whole, the performance of Board Committee and contribution of each Director.

The Committee met twice during the financial year under review and the attendance record is as follows:-

	Composition of the Nomination Committee	Attendance at the Committee Meetings held during the financial year ended 31 December 2016
Chairman	Goh Fuqiang, Kenneth (Independent Non-Executive Director)	2/2
Member	Datuk Tan Boon Leng (Independent Non-Executive Director)	2/2
Member	Tetsuya Iguchi (Non-Independent Non-Executive Director)	2/2

COMPOSITION

The Committee and its Chairman shall be appointed by the Board from amongst its number and shall comprise not less than two (2) members, consisting exclusively of non-executive directors, a majority of whom are independent.

ATTENDANCE OF MEETINGS

(a) A quorum shall consist of two of the members. In the absence of the Chairman, the members present shall elect a Chairman for the meeting from amongst the members present.

(b) The Committee Members may participate in a meeting by means of conference telephone, conference videophone or any similar or other communications equipment by means of which all persons participating in the meeting can hear each other. Such participation in a meeting shall constitute his/her presence in person at such meeting. Minutes of such a meeting signed by the Chairman of the Committee shall be conclusive evidence of any resolution of any meeting conducted in the manner as aforesaid.

(c) The Company Secretary shall be the Secretary of the Committee or in his/her absence, another person authorised by the Chairman of the Committee.

FREQUENCY OF MEETINGS

(a) Meetings shall be held at least once a year, or more frequently if circumstances require the Committee to do so.

(b) The Committee meets as and when necessary and may decide by way of circular resolutions.

AUTHORITY

(a) The Committee has full access to any information pertaining to the Company and Group and unrestricted access to the officers and employees of the Company and Group.

(b) The Committee may with the approval of the Board, obtain independent professional or other advice in the performance of its duties.

DUTIES AND RESPONSIBILITIES

The Committee shall have the following duties and responsibilities, in addition to any others that may be assigned by the Board from time to time:

(a) Review the required mix of skills, experience and other qualities, including core competencies which Directors should bring to the Board;

(b) Recommend to the Board, candidates for all directorship to be filled;

(c) Recommend to the Board, the candidates to fill the seats on Board Committees;

(d) Assess the effectiveness of the Board as a whole, the Committees of the Board, and the contributions of each individual Director; and

(e) Review the size of the Board with a view to determining the impact of the number upon its effectiveness.

The Committee's focus is on strengthening, balancing and understanding the range of skills, experience and diversity of the Board and key roles below Board level. The Committee is responsible for making recommendations to the Board on the composition of the Board and its Committees, on retirements, appointments of additional and replacement directors and on succession planning.

POLICY ON BOARD COMPOSITION

The policy on the Board's composition is disclosed in the Board Charter.

The Board does not have any gender diversity policies and targets or any set measures to meet any target. Nevertheless, the Group is an equal opportunity employer and all appointments and employments are based strictly on merits and are not driven by any racial or gender bias.

BOARD NOMINATION AND ELECTION PROCESS

The key steps in the process are as follows:

- The Committee considers the knowledge and experience required for the role, taking into account the strategy of the Group and its businesses as well as the criteria set by the Board.
- The Committee evaluates the potential candidates based on the identified requirements.
- The Committee recommends the shortlisted candidate for the Board's approval.

For the financial year ended 31 December 2016, the Committee had considered candidates to encourage female representation to the Board and had recommended the Board to appoint Ms Elaine Foong Sooi Jade as a board member based on the Committee's assessment of her experience, qualification and character.

ASSESSMENT

For the financial year ended 31 December 2016, the Committee had reviewed the results of the assessment of the Board as a whole and of each individual Director. The result of the assessment was used as a guide to evaluate and review the composition and effectiveness of the Independent Directors, Executive Directors and Board Committee Members. The assessment of the Board and Directors were based on the following criteria:

Individual Director:

- Understanding of role and responsibility
- Time commitment and dedication
- Understanding of the Group's business
- Contribution and participation in board discussion and decision-making
- Courtesy
- Self development
- Independence

Board as a whole:

- Board structure
- Conduct of meetings
- Corporate strategy and planning
- Risk management and internal control
- Performance measurement and monitoring
- Recruitment and evaluation
- Compensation
- Financial reporting
- Shareholder communication

ASSESSMENT OF TRAINING NEEDS

The Committee has reviewed and assessed the trainings attended by the Directors for the financial year ended 31 December 2016 and have determined that the trainings attended were adequate. The Directors have also indicated their preferred training topics for the year ending 31 December 2017.

ADDITIONAL COMPLIANCE INFORMATION

SHARE BUY-BACK AND RESALE

During the financial year ended 31 December 2016, the Company purchased a total of 6,701,000 ordinary shares of RM0.10 each of the issued share capital from the open market at an average price of RM0.81 per share. The total consideration for the share buy-back was RM5,408,735 and was financed by internally generated funds. There were 6,701,000 treasury shares as at 31 December 2016.

Information on the shares purchased/sold by the Company during the financial year ended 31 December 2016 are as follows:

Monthly Breakdown	No. of shares purchased/ (resold)	Purchase/(Resale) Price Per Share (RM)		Average Cost Per Share	Total Consideration*
		Lowest	Highest	(RM)	(RM)
February 2016	5,000	0.885	0.885	0.889	4,444
March 2016	20,000	0.840	0.840	0.842	16,840
May 2016	50,000	0.800	0.800	0.802	40,095
June 2016	1,186,000	0.800	0.870	0.833	988,209
August 2016	10,000	0.830	0.830	0.832	8,324
September 2016	5,429,000	0.800	0.800	0.801	4,350,013
October 2016	1,000	0.795	0.795	0.809	810

* including transaction costs

There were no shares cancelled during the financial year ended 31 December 2016.

OPTIONS, WARRANTS AND CONVERTIBLE SECURITIES

During the financial year, a total of 12,842,933 Warrants were exercised. As at 31 December 2016, there was a total of 69,849,102 unexercised Warrants.

Other than the above, there are no other options, warrants or convertible securities issued by the Company during the financial year under review.

AMERICAN DEPOSITORY RECEIPT ("ADR") OR GLOBAL DEPOSITORY RECEIPT ("GDR")

During the financial year in review, the Company did not sponsor any ADR or GDR programme.

SANCTIONS OR PENALTIES

There were no sanctions or penalties imposed on the Group, directors or management by the relevant regulatory bodies during the financial year in review.

NON-AUDIT FEES

There was no special audit fees paid to the external auditors by the Group during the financial year in review.

There was a RM5,000 non-audit fee paid to the external auditors by the Group during the financial year in review.

VARIATION IN RESULTS

There was no significant variation between the financial results in the Annual Audited Financial Statements 2016 and the unaudited financial results for the year ended 31 December 2016 announced by the Company on 24 February 2017.

PROFIT ESTIMATES, FORECAST OR PROJECTION

The Company did not issue any profit estimates, forecast or projection for the financial year in review.

PROFIT GUARANTEE

The Company did not issue any profit guarantee during the financial year in review.

MATERIAL CONTRACT INVOLVING DIRECTORS AND SUBSTANTIAL SHAREHOLDERS

There were no material contracts involving directors and substantial shareholders during the financial year in review except for a Service Agreement dated 29 September 2004 entered into with Mr Tiang Boon Hwa ("TBH") for the appointment of TBH to act as Managing Director or in such other capacity as the Company may designate. The Company shall have the discretion to terminate TBH's employment lawfully (without notice or on notice less than that required under the Term above), by paying to TBH a sum equal to RM2,000,000 in addition to his salary and value of contractual benefits due to him in respect of that part of the period of the Term, which the Company has not given to TBH or the unexpired part of such fixed term.

REVALUATION POLICY

The Company did not revalue any of its property, plant and equipment during the financial year in review.

CORPORATE SOCIAL RESPONSIBILITY ("CSR")

The Group understands the importance of its stakeholders, i.e. shareholders, employees, customers, suppliers, and local communities, in the successfulness of Company business. Pursuant to that, the Company will be constantly trying to balance the return of each of its stakeholders group. Above and beyond a continuous effort to maximize the wealth of its ordinary shareholders, the following actions have been conducted in financial year 2016 to look into the needs of the broader stakeholder group and to take on a wider social responsibility:

Type of stakeholder	Action
Employees	Constant review on staff benefit and allowance and disseminate the decision via issuance of circulars, directives, rules & regulations or other instructions as a form of communication from management to employees. All confirmed employees are covered by Personal Accident Insurance, Group Hospitalisation Insurance and other medical benefits. Organisation of company trip, gatherings, sports activities and annual dinner for closer bonding among the Group's employees.
Customers	Continuous R&D efforts to improve quality of products. Involving customers in the Company's events to establish good relationship.
Suppliers	Close review on the Company's working capital management to maintain liquidity level required to repay its creditors on time. Involving suppliers in the Company's events to establish good relationship.
Environment and Community	N2N conducted blood donation campaigns twice in 2016 as part of our CSR initiatives. This campaign has been on-going since August 2011 and from year 2013 we turned it to a bi-annual event. The campaigns, which were held in April and November respectively at N2N office, attracted donors not only members from N2N but tenants around Bangsar South area. With the overwhelming response, it showed that from this simple action we not only creating public awareness at Bangsar South area but also help to create a Lovely community. A newly high record of donors generated in every campaign. Apart from blood donation, N2N also collaborated with Lovely Disabled Home ("the Home") on a Recycle Project which has been on-going since March 2014. This initiative is aimed to support the Home, a non-profitable and non-Governmental Organisation ("NGO") by providing a platform for its disabled occupants to work and interact. N2N staff will volunteer to collect newspapers and other recyclable items from the tenants around N2N office at Bangsar South on the last Friday of every month. The items will then be sent to the Home, which will be sorted and sold to cover the Home's day to day operation costs. With this collaboration we also create Environmental Awareness amongst the members in N2N and tenants in Bangsar South area. N2N continues to support the Home by providing venue during the blood donation campaign for them to sell their in-house socks, which create job opportunities for those with special needs. All these initiatives in line with N2N motto "LovePlayCare" as an integral part in the Company's mission to benefit the society.

FINANCIAL STATEMENTS

FINANCIAL SECTION

PG 49 Directors' Report

PG 56 Statement by Directors I Statutory Declaration

PG 57 Independent Auditors' Report

PG 62 Statements of Financial Position

PG 64 Statements of Profit or Loss and Other Comprehensive Income

PG 66 Statements of Changes in Equity

PG 69 Consolidated Statement of Cash Flows

PG 71 Company Statement of Cash Flows

PG 73 Notes to the Financial Statements

PG 127 Realised and Unrealised Profits/Losses (Supplementary Information)

DIRECTORS' REPORT

The Directors have pleasure in submitting their report together with the audited financial statements of the Group and of the Company for the financial year ended 31 December 2016.

PRINCIPAL ACTIVITIES

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities and management of investment properties.

The principal activities of its subsidiary companies are disclosed in Note 5 to the financial statements.

There have been no significant changes in the nature of these activities during the financial year.

FINANCIAL RESULTS

	Group RM	Company RM
Profit for the financial year attributable to:		
- Owners of the Company	11,746,540	979,277
- Non-controlling interests	(65,681)	–
	11,680,859	979,277

DIVIDENDS

Since the end of the previous financial year, the Company paid:

(a) a second interim single tier dividend of 1 sen per ordinary share of RM0.10 each amounting to RM4,646,801 in respect of the financial year ended 31 December 2015 on 31 March 2016;

(b) a first interim single tier dividend of 1 sen per ordinary share of RM0.10 each amounting to RM4,751,160 in respect of the financial year ended 31 December 2016 on 30 September 2016.

The Directors do not recommend any final dividend for the current financial year ended 31 December 2016.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves and provisions during the financial year under review other than those disclosed in the financial statements.

ISSUE OF SHARES AND DEBENTURES

During the financial year, the issued and paid-up share capital of the Company was increased from RM46,358,917 to RM47,643,210 by way of the issuance of 12,842,933 new ordinary shares of RM0.10 each for cash pursuant to the exercise of Warrants based on an exercise price of RM0.38 and RM0.45 per ordinary share.

The new ordinary shares issued during the financial year ranked pari passu in all respects with the existing ordinary shares of the Company.

There were no issuances of debentures by the Company during the financial year.

WARRANTS 2013/2018

On 9 April 2013, the Company issued 99,923,600 Warrants 2013/2018 ("Warrants") at an issue price of RM0.02 each pursuant to a renounceable rights issue of one warrant for every three existing ordinary shares of RM0.10 each held in the Company. During the financial year, a total of 12,842,933 (2015: 1,195,400) Warrants were exercised. As at 31 December 2016, there was a total of 69,849,102 (2015: 82,692,035) unexercised Warrants.

The salient features of the Warrants are disclosed in Note 20(b) to the financial statements.

OPTIONS GRANTED OVER UNISSUED SHARES

No option were granted to any person to take up unissued shares of the Company during the financial year under review.

REPURCHASE OF SHARES

At the Tenth Annual General Meeting held on 20 June 2011, the shareholders approved the share buy-back of up to 10% or up to 29,893,900 ordinary shares of the issued and paid-up share capital of the Company. The mandate given by the shareholders at the Annual General Meeting ("AGM") held on 24 May 2016 to renew the Company's plan to repurchase its own shares will expire at the forthcoming AGM and an ordinary resolution will be tabled at the forthcoming AGM for shareholders to renew the mandate for another year.

REPURCHASE OF SHARES (CONTINUED)

During the duration of share buy-back, the Company had repurchased/(resold) the following ordinary shares of its issued and paid-up share capital from/(to) the open market:

In the financial year	No. of ordinary shares	Average price per share RM	Total cost/ (proceeds) RM
2011 Repurchased	1,774,900	0.24	433,668
2012 Repurchased	1,072,700	0.45	482,836
2013 Repurchased	3,532,300	0.47	1,661,439
2013 Resold	(2,857,700)	0.47	(1,339,829)
2014 Repurchased	3,863,300	0.83	3,226,684
2014 Resold	(5,000)	0.52	(2,354)
2015 Repurchased	1,260,900	0.81	1,023,521
2015 Resold	(8,641,400)	0.99	(8,553,950)
2016 Repurchased	6,701,000	0.81	5,408,735
	6,701,000		

The repurchase transactions were financed by internally generated funds. The repurchased shares are being held as treasury shares and carried at cost in accordance with the requirements of section 67A of the Companies Act, 1965. The Company has not made any share cancellation of its treasury shares during the financial year.

At 31 December 2016, the total number of treasury shares held by the Company is 6,701,000 (2015: Nil) ordinary shares.

DIRECTORS

The Directors in office during the financial year and during the period from the end of the financial year to the date of this report are:

Tiang Boon Hwa
Lai Su Ping
Datuk Tan Boon Leng
Goh Fuqiang, Kenneth
Akio Furuse
Oh Kim Sun
Elaine Foong Sooi Jade
Masashi Shindo (Appointed on 30 March 2017)
Chua Tiong Hoong (Resigned on 30 March 2017)
Tetsuya Iguchi (Resigned on 30 March 2017)

DIRECTORS' INTERESTS IN SHARES OR DEBENTURES

According to the register of Directors' shareholdings, particulars of interests of Directors who held office at the end of the financial year in shares and options over shares in the Company are as follows:

	Number of ordinary shares of RM0.10 each			
	At 1.1.2016	Acquired	Disposed	At 31.12.2016
Interest in the Holding Company:				
N2N Connect Holdings Sdn. Bhd.				
Direct interest				
Chua Tiong Hoong	20	–	–	20
Lai Su Ping	280	–	–	280
Tiang Boon Hwa	646	–	–	646

	Number of ordinary shares RM0.10 each			
	At 1.1.2016	Acquired	Disposed	At 31.12.2016
Interest in the Company:				
N2N Connect Berhad				
Direct interest				
Chua Tiong Hoong	3,029,354	104,000	–	3,133,354
Lai Su Ping	13,995,644	2,000,000	–	15,995,644
Tiang Boon Hwa	12,918,944	2,000,000	–	14,918,944
Goh Fuqiang, Kenneth	13,266,666	–	–	13,266,666
Datuk Tan Boon Leng	1,232,700	–	–	1,232,700
Indirect interest				
Chua Tiong Hoong [1]	14,000	–	–	14,000
Lai Su Ping [2]	148,368,454	2,000,000	–	150,368,454
Tiang Boon Hwa [3]	149,445,154	2,000,000	–	151,445,154
Datuk Tan Boon Leng [4]	329,600	–	–	329,600

DIRECTORS' INTERESTS (CONTINUED)

	Number of warrants 2013/2018			
	At 1.1.2016	Acquired	Converted	At 31.12.2016
Interest in the Company:				
N2N Connect Berhad				
Direct interest				
Chua Tiong Hoong	104,000	–	(104,000)	–
Lai Su Ping	4,045,213	–	(2,000,000)	2,045,213
Tiang Boon Hwa	4,502,089	–	(2,000,000)	2,502,089
Datuk Tan Boon Leng	411,166	–	–	411,166
Indirect interest				
Chua Tiong Hoong [1]	125,200	–	–	125,200
Lai Su Ping [2]	51,064,558	–	(2,000,000)	49,064,558
Tiang Boon Hwa [3]	50,607,682	–	(2,000,000)	48,607,682
Datuk Tan Boon Leng [4]	362,266	–	–	362,266

Notes:

1 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007.*

2 *Deemed interest through her spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007 and her direct interest in the holding company, N2N Connect Holdings Sdn. Bhd. pursuant to Section 6A of the Companies Act, 1965.*

3 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007 and his direct interest in the holding company, N2N Connect Holdings Sdn. Bhd. pursuant to Section 6A of the Companies Act, 1965.*

4 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007.*

Deemed interested by virtue of their interests in the shares of the Company, Chua Tiong Hoong, Lai Su Ping, Tiang Boon Hwa, Goh Fuqiang, Kenneth and Datuk Tan Boon Leng are also deemed to have interests in the shares of all its subsidiary companies to the extent the Company has an interest.

Oh Kim Sun, Elaine Foong Sooi Jade, Akio Furuse and Tetsuya Iguchi who hold office at the end of the financial year do not have any interest in shares or debentures in the Company or its subsidiaries or its holding company during the financial year under review.

DIRECTORS' BENEFITS

Since the end of the previous financial year, no Director of the Company has received or become entitled to receive any benefit (other than a benefit included in the aggregate amount of emoluments received or due and receivable by Directors as shown in the financial statements) by reason of a contract made by the Company or a related corporation with the Director or with a firm of which the Director is a member, or with a company in which the Director has a substantial financial interest.

Neither during nor at the end of the financial year, was the Company or its subsidiary companies a party to any arrangement the object of which is to enable the Directors of the Company to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

OTHER STATUTORY INFORMATION

(a) Before the financial statements of the Group and of the Company were prepared, the Directors took reasonable steps:

(i) to ascertain that action had been taken in relation to the writing off of bad debts and the making of provision for doubtful debts and satisfied themselves that all known bad debts had been written off and that adequate provision had been made for impairment losses on receivables; and

(ii) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including the value of current assets as shown in the accounting records of the Group and of the Company have been written down to an amount which the current assets might be expected so to realise.

(b) At the date of this report, the Directors are not aware of any circumstances which would render:

(i) the amount written off for bad debts or the additional provision for impairment losses on receivables in the financial statements of the Group and of the Company inadequate to any substantial extent;

(ii) the values attributed to the current assets in the financial statements of the Group and of the Company misleading;

(iii) any amount stated in the financial statements of the Group and of the Company misleading; and

(iv) adherence to the existing method of valuation of assets or liabilities of the Group and of the Company misleading or inappropriate.

(c) No contingent or other liabilities of the Group and of the Company have become enforceable, or are likely to become enforceable within the period of twelve months after the end of the financial year which, in the opinion of the Directors, will or may affect the ability of the Group and of the Company to meet their obligations as and when they fall due.

OTHER STATUTORY INFORMATION (CONTINUED)

(d) At the date of this report, there does not exist:

(i) any charge on the assets of the Group or of the Company which has arisen since the end of the financial year which secures the liabilities of any other person; and

(ii) any contingent liability in respect of the Group or of the Company which has arisen since the end of the financial year.

(e) In the opinion of the Directors,

(i) the results of the operations of the Group and of the Company for the financial year have not been substantially affected by any item, transaction or event of a material and unusual nature; and

(ii) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of the Group and of the Company for the current financial year in which the report is made.

HOLDING COMPANY

The Directors regard N2N Connect Holdings Sdn. Bhd., a company incorporated in Malaysia, as the holding company.

SIGNIFICANT EVENT

The significant event is disclosed in Note 33 to the financial statements.

AUDITORS

The auditors, Messrs. Morison Anuarul Azizan Chew, have expressed their willingness to accept re-appointment.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors.

LAI SU PING

TIANG BOON HWA

Kuala Lumpur
30 March 2017

STATEMENT BY DIRECTORS

Pursuant to Section 169(15) of the Companies Act, 1965

We, **LAI SU PING** and **TIANG BOON HWA**, being two of the Directors of **N2N CONNECT BERHAD**, do hereby state that, in the opinion of the Directors, the financial statements set out on pages 62 to 126 are drawn up in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 1965 in Malaysia so as to give true and fair view of the financial position of the Group and of the Company as at 31 December 2016 and of their financial performance and cash flows for the financial year then ended.

The supplementary information set out on page 127 to the financial statements have been prepared in accordance with the Guidance on Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, as issued by the Malaysian Institute of Accountants.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors.

LAI SU PING	**TIANG BOON HWA**

Kuala Lumpur
30 March 2017

STATUTORY DECLARATION

Pursuant to Section 169(16) of the Companies Act, 1965

I, **TIANG BOON HWA**, being the Director primarily responsible for the financial management of **N2N CONNECT BERHAD**, do solemnly and sincerely declare that the financial statements and supplementary information set out on pages 62 to 126 and the supplementary information set out on page 127 are to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by)
the above named **TIANG BOON HWA**)
at Kuala Lumpur in the state of Wilayah)
Persekutuan on this date of 30 March 2017)

TIANG BOON HWA

Before me,

COMMISSIONER FOR OATHS

INDEPENDENT AUDITORS' REPORT

To the members of N2N Connect Berhad
(Company No.: 523137-K)
(Incorporated in Malaysia)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of N2N Connect Berhad, which comprise the statements of financial position as at 31 December 2016 of the Group and of the Company, and the statements of profit or loss and other comprehensive income, statements of changes in equity and statements of cash flows of the Group and of the Company for the year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on pages 62 to 126.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of the Company as at 31 December 2016, and of their financial performance and their cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 1965 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of the Company in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of the Company for the current year. These matters were addressed in the context of our audit of the financial statements of the Group and of the Company as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key Audit Matters (Continued)

Key audit matter	How our audit addressed the key audit matter
Revenue recognition **(Refer to Note 22 to the financial statements)** We focused on this area because there is an inherent risk over the accuracy of application solutions revenue recorded, given the complexity of the pricing models for different customers and the varying tier-based charges arising from the volume of matched trades processed by the system.	Our audit procedures included controls testing and substantive procedures covering, in particular, the following: • We engaged an external independent IT audit experts to test the IT control environment, including application controls over the systems that processed matched trade information; • We assessed the appropriateness of the external independent IT audit experts' scope of work and evaluated whether they had sufficient expertise, capabilities and objectivity to perform the work. • We discussed with the management and the external independent IT audit experts on the IT environment and application controls over the processing of matched trade transactions. • We reviewed the working papers of the independent external IT audit experts and the reports they issued. • We traced a sample of matched trade information log back to the system's database used for raising bills; • We performed tests on accuracy of customer bill generation on a sample basis based on the pricing model and charges based on the signed contract terms; • Traced and matched cash receipts on a sample of customers back to the sales invoice. Based on our procedures, we noted no material exceptions on the accuracy of application solutions revenue recorded during the financial year ended 31 December 2016.
Impairment assessment of intangible assets **(Refer to Note 2.3(i) and Note 6 to the financial statements)** As at 31 December 2016, the Group and the Company has significant intangible assets with a carrying amount of RM18,133,147 and RM13,819,986 respectively. There is a risk that the carrying value of the intangible assets is not supported by the generation of future economic benefits and performance by the Group and the Company. We have focused on this area due to the significant degree of judgement and estimates over the impairment assessment of intangible assets.	We evaluated management's impairment assessment and the process by which they were developed, including its oversight of the impairment assessment by the Board of Directors. We challenged assumptions used in the impairment model which, amongst others, include: • forecast revenue; • forecast other operating and administrative costs; • forecast capital expenditure; and • discount rates. Sensitivity analysis was performed on key assumptions used by management and we assessed the impact on the recoverable amount of the intangible assets within a reasonable foreseeable range. We found that the forecast assumptions were consistent with historical results adjusted for contract renewals and new secured customers.

Information Other than the Financial Statements and Auditors' Report Thereon

The Directors of the Company are responsible for the other information. The other information comprises the information included in the Directors' Report and Statement on Risk Management and Internal Control, which we obtained prior to the date of this auditors' report, and the remaining parts of the Annual Report, which are expected to be made available to us after that date.

Our opinion on the financial statements of the Group and of the Company does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of the Company, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Group and of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The Directors of the Company are responsible for the preparation of financial statements of the Group and of the Company that give a true and fair view in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 1965 in Malaysia. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial statements of the Group and of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of the Company, the Directors are responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Group and of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Auditors' Responsibilities for the Audit of the Financial Statements (Continued)

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.

- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's or the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements of the Group and of the Company, including the disclosures, and whether the financial statements of the Group and of the Company represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Directors, we determine those matters that were of most significance in the audit of the financial statements of the Group and of the Company for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

In accordance with the requirements of the Companies Act, 1965 in Malaysia, we also report on the following:

(a) In our opinion, the accounting and other records and the registers required by the Companies Act, 1965 in Malaysia be kept by the Company and its subsidiaries of which we have acted as auditors have been properly kept in accordance with the provisions of the Companies Act, 1965 in Malaysia.

(b) We have considered the financial statements and the auditors' reports of all the subsidiaries of which we have not acted as auditors, which are indicated in Note 5 to the financial statements, being financial statements that have been included in the consolidated financial statements.

(c) We are satisfied that the financial statements of the subsidiaries that have been consolidated with the Company's financial statements are in form and content appropriate and proper for the purposes of the preparation of the financial statements of the Group and we have received satisfactory information and explanations required by us for those purposes.

(d) The auditors' reports on the financial statements of the subsidiaries did not contain any qualification or any adverse comment made under Section 174(3) of the Companies Act, 1965 in Malaysia.

OTHER REPORTING RESPONSIBILITIES

The supplementary information set out in page 127 is disclosed to meet the requirement of Bursa Malaysia Securities Berhad and is not part of the financial statements. The Directors are responsible for the preparation of the supplementary information in accordance with Guidance on Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, as issued by the Malaysian Institute of Accountants ("MIA Guidance") and the directive of Bursa Malaysia Securities Berhad. In our opinion, the supplementary information is prepared, in all material respects, in accordance with the MIA Guidance and the directive of Bursa Malaysia Securities Berhad.

OTHER MATTERS

This report is made solely to the member of the Company, as a body, in accordance with Section 174 of the Companies Act, 1965 in Malaysia and for no other purpose. We do not assume any responsibility to any other person for the content of this report.

MORISON ANUARUL AZIZAN CHEW
Firm Number: AF 001977
Chartered Accountants

MUHAMAD HAFIZ BIN CHE YUSOF
Approved Number: 3125/06/18 (J)
Chartered Accountant

KUALA LUMPUR
30 March 2017

STATEMENTS OF FINANCIAL POSITION

As at 31 December 2016

	Note	Group 2016 RM	Group 2015 RM	Company 2016 RM	Company 2015 RM
Non-Current Assets					
Property, plant and equipment	3	32,715,050	32,106,771	23,890,999	24,602,722
Investment properties	4	12,746,954	13,026,992	12,746,954	13,026,992
Investment in subsidiary companies	5	–	–	2,095,002	2,095,002
Intangible assets	6	18,133,147	16,137,749	13,819,986	12,763,450
		63,595,151	61,271,512	52,552,941	52,488,166
Current Assets					
Trade receivables	7	7,619,842	11,369,011	788,371	694,639
Other receivables	8	9,145,291	1,014,120	8,519,373	226,087
Amount owing by subsidiary companies	9	–	–	25,705,545	21,363,667
Amount owing by a related company	10	37,739	101,600	20,779	134,120
Amount owing by holding company	11	107,707	15,289	92,418	–
Tax recoverable		8,452	143,414	8,452	143,414
Marketable securities	12	70,729,079	85,751,511	65,711,177	85,751,511
Financial assets at fair value through profit or loss	13	2,923,448	4,467,108	2,923,448	4,467,108
Deposits with licensed banks	14	6,807,440	6,314,080	6,807,440	6,314,080
Cash and bank balances		29,719,661	18,556,989	5,480,394	6,732,140
		127,098,659	127,733,122	116,057,397	125,826,766
Current Liabilities					
Trade payables	15	3,929,740	3,295,323	193,249	223,531
Other payables	16	2,888,771	2,991,381	1,207,382	899,427
Amount owing to a subsidiary company	9	–	–	1,542,026	1,933,302
Bank borrowings	17	834,506	729,250	821,800	704,400
Provision for taxation		–	3,967	–	–
		7,653,017	7,019,921	3,764,457	3,760,660
Net current assets		119,445,642	120,713,201	112,292,940	122,066,106
		183,040,793	181,984,713	164,845,881	174,554,272

STATEMENTS OF FINANCIAL POSITION (Cont'd)

		Group		Company	
	Note	2016 RM	2015 RM	2016 RM	2015 RM
Financed By:					
Share capital	18	47,643,210	46,358,917	47,643,210	46,358,917
Share premium		115,671,878	111,809,310	115,671,878	111,809,310
Treasury shares	19	(5,408,735)	–	(5,408,735)	–
Reserves	20	2,200,548	2,381,699	1,396,982	1,653,841
Retained profits		18,284,671	15,936,092	1,416,599	9,835,283
Equity attributable to owners of the Company		178,391,572	176,486,018	160,719,934	169,657,351
Non-controlling interests		523,274	588,955	–	–
Total Equity		178,914,846	177,074,973	160,719,934	169,657,351
Non-Current Liabilities					
Bank borrowings	17	2,873,670	3,590,889	2,873,670	3,578,070
Deferred tax liabilities	21	1,252,277	1,318,851	1,252,277	1,318,851
		4,125,947	4,909,740	4,125,947	4,896,921
		183,040,793	181,984,713	164,845,881	174,554,272

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the financial year ended 31 December 2016

		Group		Company	
	Note	2016 RM	2015 RM	2016 RM	2015 RM
Revenue	22	41,815,888	38,901,700	5,919,204	6,525,221
Cost of sales		(18,317,944)	(17,023,698)	(3,297,971)	(3,651,208)
Gross profit		23,497,944	21,878,002	2,621,233	2,874,013
Other operating income		5,861,789	5,359,226	6,702,683	6,929,682
Administration expenses		(17,309,914)	(16,515,084)	(8,018,548)	(7,839,895)
Finance costs		(274,055)	(319,626)	(268,169)	(317,293)
Profit before taxation	23	11,775,764	10,402,518	1,037,199	1,646,507
Taxation	24	(94,905)	(1,106,527)	(57,922)	(1,343,189)
Profit for the financial year		11,680,859	9,295,991	979,277	303,318
Other comprehensive income:					
Items that may be reclassified subsequently to profit or loss					
– Exchange differences arising from translation of foreign operations		75,708	418,783	–	–
Total comprehensive income for the financial year		11,756,567	9,714,774	979,277	303,318

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME (Cont'd)

		Group		Company	
	Note	2016 RM	2015 RM	2016 RM	2015 RM
Profit for the financial year attributable to:					
- Owners of the Company		11,746,540	9,367,036	979,277	303,318
- Non-controlling interests		(65,681)	(71,045)	–	–
		11,680,859	9,295,991	979,277	303,318
Total comprehensive income attributable to:					
- Owners of the Company		11,822,248	9,785,819	979,277	303,318
- Non-controlling interests		(65,681)	(71,045)	–	–
		11,756,567	9,714,774	979,277	303,318
Earnings per share attributable to owners of the Company:					
- Basic	25(a)	2.48	2.13		
- Diluted	25(b)	2.32	1.93		

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CHANGES IN EQUITY

For the financial year ended 31 December 2016

		Attributable to Owners of the Company								
			Non-distributable				Distributable			
Group	Note	Share Capital RM	Share Premium RM	Treasury Shares RM	Exchange Reserve RM	Warrants Reserve RM	Retained Profits RM	Sub-Total RM	Non-Controlling interest RM	Total Equity RM
At 1 January 2016		46,358,917	111,809,310	–	727,858	1,653,841	15,936,092	176,486,018	588,955	177,074,973
Issue of shares pursuant to exercise of Warrants		1,284,293	3,862,568	–	–	(256,859)	–	4,890,002	–	4,890,002
Shares repurchased during the year held as treasury shares	19	–	-	(5,408,735)	–	–	–	(5,408,735)	–	(5,408,735)
Dividends	26	–	–	–	–	–	(9,397,961)	(9,397,961)	–	(9,397,961)
Profit for the financial year		–	–	–	–	–	11,746,540	11,746,540	(65,681)	11,680,859
Other comprehensive income:										
Exchange differences arising from translation of foreign operation		–	–	–	75,708	–	–	75,708	–	75,708
Total comprehensive income for the financial year		–	–	–	75,708	–	11,746,540	11,822,248	(65,681)	11,756,567
At 31 December 2016		47,643,210	115,671,878	(5,408,735)	803,566	1,396,982	18,284,671	178,391,572	523,274	178,914,846

STATEMENTS OF CHANGES IN EQUITY (Cont'd)

		Attributable to Owners of the Company								
			Non-distributable				Distributable			
Group	Note	Share Capital RM	Share Premium RM	Treasury Shares RM	Exchange Reserve RM	Warrants Reserve RM	Retained Profits RM	Sub-Total RM	Non-Controlling interest RM	Total Equity RM
At 1 January 2015		43,968,667	106,225,342	(4,881,241)	309,075	1,677,749	10,883,532	158,183,124	–	158,183,124
Issue of shares pursuant to:										
- ESOS		2,270,710	2,576,160	–	–	–	–	4,846,870	–	4,846,870
- Exercise of Warrants		119,540	358,620	–	–	(23,908)	–	454,252	–	454,252
Resale of treasury shares	19	–	2,649,188	5,904,762	–	–	–	8,553,950	–	8,553,950
Shares repurchased during the year held as treasury shares	19	-	–	(1,023,521)	–	–	–	(1,023,521)	–	(1,023,521)
Dividends	26	–	–	–	–	–	(4,314,476)	(4,314,476)	–	(4,314,476)
Partial disposal of equity interest in a subsidiary		–	–	–	–	–	–	–	660,000	660,000
Profit for the financial year		–	–	–	–	–	9,367,036	9,367,036	(71,045)	9,295,991
Other comprehensive income:										
Exchange differences arising from translation of foreign operation		–	–	–	418,783	–	–	418,783	–	418,783
Total comprehensive income for the financial year		–	–	–	418,783	–	9,367,036	9,785,819	(71,045)	9,714,774
At 31 December 2015		46,358,917	111,809,310	–	727,858	1,653,841	15,936,092	176,486,018	588,955	177,074,973

STATEMENTS OF CHANGES IN EQUITY (Cont'd)

			Non-distributable			Distributable	
Company	Note	Share Capital RM	Share Premium RM	Treasury Shares RM	Warrants Reserve RM	Retained Profits RM	Total RM
At 1 January 2016		46,358,917	111,809,310	–	1,653,841	9,835,283	169,657,351
Issue of shares pursuant to exercise of Warrants		1,284,293	3,862,568	–	(256,859)	–	4,890,002
Shares repurchased during the year held as treasury shares	19	–	–	(5,408,735)	–	–	(5,408,735)
Dividends	26	–	–	–	–	(9,397,961)	(9,397,961)
Profit/Total comprehensive income for the financial year		–	–	–	–	979,277	979,277
At 31 December 2016		47,643,210	115,671,878	(5,408,735)	1,396,982	1,416,599	160,719,934
At 1 January 2015		43,968,667	106,225,342	(4,881,241)	1,677,749	13,846,441	160,836,958
Issue of shares pursuant to:							
- ESOS		2,270,710	2,576,160	–	–	–	4,846,870
- Exercise of Warrants		119,540	358,620	–	(23,908)	–	454,252
Resale of treasury shares	19	–	2,649,188	5,904,762	–	–	8,553,950
Shares repurchased during the year held as treasury shares	19	–	–	(1,023,521)	–	–	(1,023,521)
Dividends	26	–	–	–	–	(4,314,476)	(4,314,476)
Profit/Total comprehensive income for the financial year		–	–	–	–	303,318	303,318
At 31 December 2015		46,358,917	111,809,310	–	1,653,841	9,835,283	169,657,351

The accompanying notes form an integral part of the financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

For the financial year ended 31 December 2016

	2016 RM	2015 RM
Cash Flows From Operating Activities		
Profit before taxation	11,775,764	10,402,518
Adjustments for:		
Amortisation of intangible asset	2,719,717	2,468,934
Bad debts written off	91,737	302,095
Depreciation of property, plant and equipment	4,430,601	3,983,180
Depreciation of investment properties	280,038	280,038
Fair value change on financial assets at fair value through profit and loss	(475,336)	681,097
Loss on disposal of property, plant and equipment	455	–
Unrealised foreign exchange loss/(gain)	8,194	(210,762)
Finance costs	274,055	319,626
Finance income	(777,893)	(71,239)
Dividend income	(2,875,967)	(2,565,438)
Operating profit before working capital changes	15,451,365	15,590,049
Changes in working capital:		
Trade receivables	3,657,432	(1,675,421)
Other receivables	(8,131,171)	1,282,480
Financial assets at fair value through profit or loss	(1,423,240)	(5,255,449)
Trade payables	626,223	1,757,339
Other payables	(102,610)	246,671
Amount owing to Directors	–	(39,078)
Amount owing by related company	63,861	(85,166)
Amount owing by holding company	(92,418)	(15,289)
	(5,401,923)	(3,783,913)
Cash generated from operations	10,049,442	11,806,136
Dividend received	2,875,967	2,565,438
Interest paid	(274,055)	(319,626)
Interest received	777,893	71,239
Tax refund	89,593	73,864
Tax paid	(120,077)	(108,581)
	3,349,321	2,282,334
Net cash generated from operating activities	13,398,763	14,088,470

CONSOLIDATED STATEMENT OF CASH FLOWS (Cont'd)

	2016 RM	2015 RM
Cash Flows From Investing Activities		
Computer software development cost	(4,715,115)	(6,394,346)
Purchase of property, plant and equipment	(5,038,151)	(3,255,953)
Proceeds from disposal of property, plant and equipment	564	–
Proceeds from partial disposal of a subsidiary	–	660,000
Proceeds from disposal of financial assets at fair value through profit or loss	3,442,236	107,244
Net changes in marketable securities	15,022,432	786,231
Net cash generated from/(used in) investing activities	8,711,966	(8,096,824)
Cash Flows From Financing Activities		
Dividend paid	(9,397,961)	(4,314,476)
Proceeds from issuance of shares	4,890,002	5,301,122
Proceeds from resale of treasury shares	–	8,553,950
Repayment of bank borrowings	(587,000)	(704,400)
Repayment of finance lease	(24,963)	(23,706)
Repurchase of treasury shares	(5,408,735)	(1,023,521)
Net cash (used in)/generated from financing activities	(10,528,657)	7,788,969
Net increase in cash and cash equivalents	11,582,072	13,780,615
Effect of exchange rate changes	73,960	297,745
Cash and cash equivalents at beginning of the financial year	24,871,069	10,792,709
Cash and cash equivalents at end of the financial year	36,527,101	24,871,069
Cash and cash equivalents at end of the financial year comprises:		
Deposits with licensed banks	6,807,440	6,314,080
Cash and bank balances	29,719,661	18,556,989
	36,527,101	24,871,069

The accompanying notes form an integral part of the financial statements.

COMPANY STATEMENT OF CASH FLOWS

For the financial year ended 31 December 2016

	2016 RM	2015 RM
Cash Flows From Operating Activities		
Profit before taxation	1,037,199	1,646,507
Adjustments for:		
Amortisation of intangible asset	2,269,876	2,000,310
Bad debts written off	89,737	137,512
Depreciation of property, plant and equipment	1,011,955	1,084,302
Depreciation of investment properties	280,038	280,038
Fair value change on financial assets at fair value through profit and loss	(475,366)	681,097
Finance cost	268,169	317,293
Finance income	(560,874)	(33,752)
Dividend income	(2,858,065)	(2,565,438)
Unrealised foreign exchange gain	(75,887)	(832,389)
Operating profit before working capital changes	986,782	2,715,480
Changes in working capital:		
Trade receivables	(183,469)	(287,572)
Other receivables	(8,293,286)	85,427
Financial assets at fair value through profit or loss	(1,423,210)	(5,255,449)
Trade payables	(78,632)	(141,193)
Other payables	307,955	19,608
Amount owing to Directors	–	(39,078)
Amount owing by subsidiary companies	(4,608,917)	1,808,157
Amount owing by related company	113,341	8,570
Amount owing by holding company	(92,418)	–
	(14,258,636)	(3,801,530)
Cash used in operations	(13,271,854)	(1,086,050)
Dividend received	2,858,065	2,565,438
Interest paid	(268,169)	(317,293)
Interest received	560,874	33,752
Tax paid	(79,127)	(105,494)
Tax refund	89,593	73,864
	3,161,236	2,250,267
Net cash (used in)/generated from operating activities	(10,110,618)	1,164,217

COMPANY STATEMENT OF CASH FLOWS (Cont'd)

	2016 RM	2015 RM
Cash Flows From Investing Activities		
Computer software development cost	(3,326,412)	(3,760,469)
Purchase of property, plant and equipment	(300,796)	(351,556)
Proceeds from disposal of property, plant and equipment	564	–
Proceeds from disposal of financial assets at fair value through profit or loss	3,442,236	107,244
Net changes in marketable securities	20,040,334	786,231
Net cash generated from/(used in) investing activities	19,855,926	(3,218,550)
Cash Flows From Financing Activities		
Dividend paid	(9,397,961)	(4,314,476)
Proceeds from issue of shares	4,890,002	5,301,122
Proceeds from resale of treasury shares	–	8,553,950
Repayment of term loan	(587,000)	(704,400)
Repurchase of treasury shares	(5,408,735)	(1,023,521)
Net cash (used in)/generated from financing activities	(10,503,694)	7,812,675
Net (decrease)/increase in cash and cash equivalents	(758,386)	5,758,342
Cash and cash equivalents at beginning of the financial year	13,046,220	7,287,878
Cash and cash equivalents at end of the financial year	12,287,834	13,046,220
Cash and cash equivalents at end of the financial year comprises:		
Deposits with licensed bank	6,807,440	6,314,080
Cash and bank balances	5,480,394	6,732,140
	12,287,834	13,046,220

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities and management of investment properties.

The principal activities of the subsidiary companies are disclosed in Note 5 to the financial statements.

The Company is a public limited liability company, incorporated under the Companies Act, 1965 and domiciled in Malaysia, and is listed on the ACE Market of Bursa Malaysia Securities Berhad.

The registered office of the Company is located at 3rd Floor, No. 17, Jalan Ipoh Kecil, 50350 Kuala Lumpur.

The principal place of business of the Company is located at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES

2.1. Basis of preparation

The financial statements of the Group and of the Company have been prepared in accordance with the provisions of the Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards and the requirements of the Companies Act, 1965 in Malaysia.

The financial statements have been prepared under the historical cost convention except as disclosed in summary of significant accounting policies.

The preparation of financial statements in conformity with MFRS requires the use of certain critical accounting estimates and assumptions that affect the reported amount of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amount of revenues and expenses during the reported period. It also requires Directors to exercise their judgements in the process of applying the Group's and Company's accounting policies. Although these estimates and judgements are based on the Directors' best knowledge of current events and actions, actual results may differ. The areas involving a higher degree of judgements or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 2.3.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.1. Basis of preparation (continued)

Accounting standard and amendments to accounting standards that are effective for the Group and the Company's financial year beginning on or after 1 January 2016 are as follows:

- MFRS 14, "Regulatory Deferral Accounts"
- Amendment to MFRS 5, "Non-Current Assets Held for Sale and Discontinued Operations" (Annual Improvements 2012-2014 Cycle)
- Amendments to MFRS 7, "Financial Instruments: Disclosures" (Annual-Improvements 2012-2014 Cycle)
- Amendments to MFRS 10, MFRS 12 and MFRS 128, "Investment Entities: Applying the Consolidation Exception"
- Amendments to MFRS 11, "Accounting for Acquisitions of Interests in Joint Operations"
- Amendments to MFRS 101, "Disclosure Initiative"
- Amendments to MFRS 116 and MFRS 138, "Clarification of Acceptable Methods of Depreciation and Amortisation"
- Amendments to MFRS 116 and MFRS 141, "Agriculture: Bearer Plants"
- Amendment to MFRS 119, "Employee Benefits" (Annual-Improvements 2012-2014 Cycle)
- Amendments to MFRS 127, "Equity Method in Separate Financial Statements"
- Amendment to MFRS 134, "Interim Financial Reporting" (Annual Improvements 2012-2014 Cycle)

The above accounting standard and amendments to accounting standards effective during the financial year do not have any significant impact to the financial results and position of the Group and the Company.

Accounting standards and amendments to accounting standards that are for the Group and the Company in the following periods but are not yet effective:

Annual periods beginning on/after 1 January 2017

- Amendments to MFRS 107 Disclosure Initiative
- Amendments to MFRS 112 Recognition of Deferred Tax Assets for Unrealised Losses
- Amendments to MFRS 2 Classification and Measurement of Share-Based Payment Transactions

Annual periods beginning on/after 1 January 2018

- MFRS 9 Financial Instruments
- MFRS 15 Revenue from Contracts with Customers

Annual periods beginning on/after 1 January 2019

- MFRS 16 Leases

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.1 Basis of preparation (continued)

Existing date yet to be determined by the Malaysian Accounting Standards Board

- Amendments to MFRS 10 Consolidated Financial Statements and MFRS 128 Investment in Associates and Joint Ventures

The above a accounting standards which may have a significant impact to the financial statements are as follows:

MFRS 9 Financial Instruments

This Standard addresses the classification, measurement and recognition of financial assets and financial liabilities.

Classification determines how financial assets and financial liabilities are accounted for in financial statements and, in particular, how they are measured on an ongoing basis. The Standard introduces an approach for classification of financial assets which is driven by cash flow characteristics and the business model in which an asset is held. The new model also results in a single impairment model being applied to all financial instruments, thereby removing a source of complexity associated with previous accounting requirements. If a financial asset is a simple debt instrument and the objective of the entity's business model within which it is held is to collect its contractual cash flows, the financial asset is measured at amortised cost. In contrast, if that asset is held in a business model the objective of which is achieved by both collecting contractual cash flows and selling financial assets, then the financial asset is measured at fair value in the balance sheet, and amortised cost information is provided through profit or loss. If the business model is neither of these, then fair value information is increasingly important, so it is provided both in the profit or loss and in the balance sheet.

The Standard introduces a new, expected-loss impairment model that will require more timely recognition of expected credit losses. Specifically, it requires entities to account for expected credit losses from when financial instruments are first recognised and to recognise full lifetime expected losses on a more timely basis. The model requires an entity to recognise expected credit losses at all times and to update the amount of expected credit losses recognised at each reporting date to reflect changes in the credit risk of financial instruments. This model is forward-looking and it eliminates the threshold for the recognition of expected credit losses, so that it is no longer necessary for a trigger event to have occurred before credit losses are recognised.

In addition, the Standard introduces a substantially-reformed model for hedge accounting, with enhanced disclosures about risk management activity. The new model represents a significant overhaul of hedge accounting that aligns the accounting treatment with risk management activities, enabling entities to better reflect these activities in their financial statements. As a result of these changes, users of the financial statements will be provided with better information about risk management and the effect of hedge accounting on the financial statements.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.1 Basis of preparation (continued)

MFRS 15 Revenue from Contracts with Customers

The Standard provides clarity on revenue recognition especially on areas where existing requirements unintentionally created diversity in practice. Under MFRS 15, an entity recognises revenue to depict the transfer of promised good or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services.

Extensive disclosures are required to provide greater insight into both revenue that has been recognised, and revenue that is expected to be recognised in the future from existing contracts.

The other accounting standards and amendments to accounting standards are not expected to have a significant impact to the financial statements of the Group and the Company.

2.2 Basis of consolidation

Subsidiaries are entities, including structured entities, controlled by the Group. The Group controls an entity when the group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

The Group considers it has de-facto power over an investee when, despite not having the majority of voting rights, it has the current ability in circumstances where the size of the Group's voting rights relative to the size and dispersion of holdings of other shareholders to direct the activities of the investee that significantly affect the investee's return.

Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are deconsolidated from the date that control ceases.

Business combinations are accounted for using the acquisition method on the acquisition date. The consideration transferred includes the fair value of assets transferred, equity interest issued by the Group and liabilities assumed. Identifiable assets acquired, liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date.

The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of the acquiree's identifiable net assets.

Acquisition-related costs are recognised in the profit or loss as incurred.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.2 Basis of consolidation (continued)

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recognised as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in the profit or loss.

Inter-company transactions, balances and unrealised gains and losses on transactions between group companies are eliminated. Accounting policies of subsidiaries have been adjusted where necessary to ensure consistency with the policies adopted by the Group.

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions. Any difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

Upon the loss of control of a subsidiary, the Group derecognises the assets and liabilities, any non-controlling interests and other components of equity related to the disposed subsidiary. Any retained interest in the entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset depending on the level of influence retained.

2.3 Significant accounting estimates and judgements

Accounting estimates and judgements, are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

The key assumptions concerning the future and other key sources of estimation or uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

(i) Impairment of software development costs

Software development costs comprise salaries of personnel involved in the development and design of products.

The Group reviews the carrying amounts of software development costs as at the end of the reporting period to determine whether there is any indication of impairment. If any such indication exists, the assets' recoverable amount or value in use is estimated. Determining the value in use of software development costs requires the determination of future cash flows expected to be generated from the continued use, and ultimate disposition of such assets. Any resulting impairment loss could have a material adverse impact on the Group's financial position and results of operations.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.3 Significant accounting estimates and judgements (continued)

(i) Impairment of software development costs (continued)

Significant judgement in the estimation of the present value of future cash flows generated by the software development costs, which involve uncertainties and are significantly affected by assumptions used and judgement made regarding estimates of future cash flows and discount rates. Changes in assumptions could significantly affect the results of the Group's assessment for impairment of software development costs.

(ii) Amortisation of intangible assets

The costs of intangible assets of the Group and of the Company are amortised on a straight-line basis over the useful life of the asset. Management estimates the useful life of the computer software as stated in Note 2.4(e). These are common life expectancies applied in the industry. Changes in the expected level of usage and technological developments could impact the economic useful life and the residual value of this asset, therefore future amortisation charges could be revised.

(iii) Income taxes

The Group has exposure to income taxes in numerous jurisdictions. Significant judgement is involved in determining the group-wide provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for expected tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

(iv) Impairment of loans and receivables

The policy for impairment of loans and receivables of the Group and the Company is based on the evaluation of collectability and aged analysis of accounts and on the management's judgement. A considerable amount of judgement is required in assessing the ultimate realisation of these receivables, including the current creditworthiness and the past collection history of each customer. If the financial conditions of customers with which the Group and the Company deals were to deteriorate, resulting in an impairment of the ability to make payments, additional impairment may be required.

(v) Depreciation of property, plant and equipment

The costs of property, plant and equipment are depreciated on a straight-line basis over the useful lives of the property, plant and equipment. Management estimates the useful lives of the property, plant and equipment as stated in Note 2.4(b)(ii). These are common life expectancies applied in the industries. Changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets, therefore future depreciation charges could be revised.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.3 Significant accounting estimates and judgements (continued)

(vi) Classification between investment properties and property, plant and equipment.

The Group and the Company has developed certain criteria based on MFRS 140 in making judgement whether a property qualifies as an investment property. Investment property is a property held to earn rentals or for capital appreciation or both.

The properties of the Group and the Company comprise a portion that is held to earn rentals or for capital appreciation and another portion that is held for use in the production or supply of goods or services or for administrative purposes. If these portions could be sold separately (or leased out separately under a finance lease), the Group and the Company would account for the portions separately. If the portions could not be sold separately, the property is an investment property only if an insignificant portion is held for use in the production or supply of goods or services or for administrative purposes. Judgement is made on an individual property basis to determine whether ancillary services are so significant that a property does not qualify as investment property.

(vii) Fair value of investment properties

In the absence of current prices in an active market for similar properties, the management considers information from a variety of sources, including:

(i) current prices in an active market for properties of a different nature, condition or location (or subject to different lease or other contracts), adjusted to reflect those differences; and

(ii) recent prices of similar properties based on a less active market, with adjustments to reflect any changes in economic conditions since the date of the transactions that occurred at those prices.

2.4 Summary of significant accounting policies

(a) Investments in subsidiaries

In the Company's separate financial statements, investments in subsidiaries are carried at cost less accumulated impairment losses. On disposal of investments in subsidiaries, the difference between disposal proceeds and the carrying amounts of the investments are recognised in profit or loss.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (continued)

(b) Property, plant and equipment

(i) Recognition and measurement

Property, plant and equipment are stated at cost less accumulated depreciation and impairment losses. The cost of an item of property, plant and equipment initially recognised includes its purchase price and any cost that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are recognised as expenses in profit or loss during the financial period in which they are incurred.

When significant parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Gains and losses on disposals are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognised in net in the profit or loss.

(ii) Depreciation

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leasehold land and building are amortised over the period of the lease. The estimated useful lives are as follows:

Leasehold land	99 years
Leasehold building	50 years
Computer equipment	3 to 5 years
Office equipment	10 years
Furniture and fittings	10 years
Renovation	10 years
Motor vehicles	5 years

Depreciation methods, useful lives and residual values are reviewed at end of each reporting period, and adjusted as appropriate.

At the end of the reporting period, the Group assesses whether there is any indication of impairment. If such indications exist, an analysis is performed to assess whether the carrying amount of the asset is fully recoverable. A write down is made if the carrying amount exceeds the recoverable amount. (Refer to accounting policy Note 2.4(d) on impairment of non-financial assets).

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (continued)

(c) Investment Properties

Investment properties are properties which are owned or held under a leasehold interest to earn rental income or for capital appreciation or for both. Properties that are occupied by the Group and the Company are accounted for as owner-occupied rather than as investment properties. Investment properties are measured initially at cost, including related transaction costs. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and any accumulated impairment losses, consistent with the accounting policy for property, plant and equipment as stated in accounting policy Note 2.4(b).

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful life of the properties. Leasehold land is amortised over the period of lease of 99 years and building is amortised over their estimated useful life of 50 years.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the profit or loss in the year in which they arise.

(d) Impairment of non-financial assets

Assets that have an indefinite useful life, such as goodwill or intangible assets not ready to use, are not subject to amortisation and are tested annually for impairment. Assets that are subject to amortisation and depreciation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or cash-generating units.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

An impairment loss is recognised if the carrying amount of an asset or its related cash-generating unit exceeds its estimated recoverable amount.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (continued)

(d) Impairment of non-financial assets (continued)

Impairment losses are recognised in profit or loss unless it reverses a previous revaluation in which it is charged to the revaluation surplus. Impairment losses recognised in prior periods are assessed at the end of each reporting period for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. An impairment loss is reversed only to the extent that the asset's carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are credited to profit or loss in the financial year in which the reversals are recognised.

(e) Intangible assets

Internally generated development costs incurred for computer software that are directly attributable to a plan or design for the production of new or substantially improved identifiable products and processes are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads.

Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

Capitalised development costs recognised as assets are amortised over its estimated useful lives of 5 to 10 years.

(f) Cash and cash equivalents

Cash and cash equivalents include cash and bank balances, deposits and other short term highly liquid investments that are readily convertible to cash and are subject to insignificant risk of changes in value. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of bank overdrafts and pledged deposits, if any.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (continued)

(g) Foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The financial statements are presented in Ringgit Malaysia ("RM"), which is the Company's functional and presentation currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

(iii) Foreign operations

The results and financial position of foreign operations that have a functional currency different from the presentation currency of the consolidated financial statements are translated into the presentation currency as follows:

- assets and liabilities of foreign operations are translated at the closing rate prevailing at the reporting date;
- income and expenses for each statement of profit or loss and other comprehensive income presented are translated at average exchange rates for the year, which approximates the exchange rates at the dates of the transactions; and
- all resulting exchange differences are taken directly to other comprehensive income through the exchange reserve.

On the disposal of a foreign operation, the cumulative amount of the exchange differences relating to that foreign operation, recognised in other comprehensive income and accumulated in the separate component of equity are reclassified to profit or loss.

In the case of a partial disposal that does not result in the Group losing control over a subsidiary that includes a foreign operation, the proportionate share of accumulated exchange differences are re-attributed to non-controlling interests and are not recognised in profit or loss. For all other partial disposals (that is, reductions in the group's ownership interest in associates or joint ventures that do not result in the group losing significant influence or joint control) the proportionate share of the accumulated exchange difference is reclassified to profit or loss.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (continued)

(h) Financial assets

(i) Classification

The Group classifies its financial assets based on the purpose for which the financial assets were acquired at initial recognition in the following categories:

Financial assets at fair value through profit or loss

Fair value through profit or loss category comprises financial assets that are held for trading, including derivatives (except for a derivative that is a financial guarantee contract or a designated and effective hedging instrument) or financial assets that are specifically designated into this category upon initial recognition.

Assets in this category are classified as current assets if expected to be settled within 12 months, otherwise, they are classified as non-current assets.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.

They are included in current assets, except for maturities greater than 12 months after the end of the reporting period. These are classified as non-current assets.

Held-to-maturity financial assets

Held-to-maturity financial assets are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group's management has the positive intention and ability to hold to maturity.

Held-to-maturity financial assets are included in non-current assets, except for those with maturities less than 12 months from the end of the reporting period, which are classified as current assets.

Available-for-sale financial assets

Available-for-sale financial assets are non-derivatives that are either designated in this category or not classified in any of the other categories.

They are included in non-current assets unless the investment matures or management intends to dispose of it within 12 months of the end of the reporting period.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (continued)

(h) Financial assets (continued)

(ii) Recognition and initial measurement

Regular purchases and sales of financial assets are recognised on the trade-date, the date on which the Group commits to purchase or sell the asset.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets carried at fair value through profit or loss are initially recognised at fair value, and transaction costs are expensed in profit or loss.

(iii) Subsequent measurement

Gains and losses

Financial assets at fair value through profit or loss and available-for-sale financial assets are subsequently carried at fair value. Loans and receivables and held-to-maturity financial assets are subsequently carried at amortised cost using the effective interest method.

Changes in the fair values of financial assets at fair value through profit or loss, including the effects of currency translation, interest and dividend income are recognised in profit or loss in the period in which the changes arise.

Changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income. Impairment losses and exchange differences on monetary assets are recognised in profit or loss, whereas exchange differences on non-monetary assets are recognised in other comprehensive income as part of fair value change.

Interest and dividend income on available-for-sale financial assets are recognised separately in profit or loss. Interest on available-for-sale debt securities calculated using the effective interest method is recognised in profit or loss. Dividend income on available-for-sale equity instruments are recognised in profit or loss when the Group's rights to receive payments is established.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (continued)

(h) Financial assets (continued)

(iii) Subsequent measurement (continued)

Impairment of financial assets

A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset. For an equity instrument, a significant or prolonged declined in fair value below its cost is also considered objective evidence of impairment.

An impairment loss in respect of loans and receivables and held-to-maturity investments is recognised in profit or loss and is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the asset's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account.

An impairment loss in respect of available-for-sale financial assets is recognised in profit or loss and is measured as the difference between the asset's acquisition cost (net of any principal repayment and amortisation) and the asset's current fair value, less any impairment loss previously recognised. Where a decline in the fair value of an available-for-sale financial asset has been recognised in other comprehensive income, the cumulative loss in other comprehensive income is reclassified from equity to profit or loss.

An impairment loss in respect of unquoted equity instrument that is carried at cost is recognised in profit or loss and is measured as the difference between the financial asset's carrying amount and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset.

Impairment losses recognised in profit or loss for an investment in an equity instrument classified as available for sale is not reversed through profit or loss.

If, in a subsequent period, the fair value of a financial asset measured at amortised cost and the increase can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed, to the extent that the asset's carrying amount does not exceed what the carrying amount would have been had the impairment not been recognised at the date the impairment is reversed. The amount of the reversal is recognised in profit or loss.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (continued)

(h) Financial assets (continued)

(iv) De-recognition

Financial assets are de-recognised when the rights to receive cash flows from the investments have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership.

When available-for-sale financial assets are sold, the accumulated fair value adjustments recognised in other comprehensive income are reclassified to profit or loss.

(i) Financial liabilities

Financial liabilities are initially recognised at fair value net of transaction costs for all financial liabilities not carried at fair value through profit or loss. Finance liabilities carried at fair value through profit or loss are initially recognised at fair value, and transaction costs are expensed in profit or loss.

All financial liabilities are subsequently measured at amortised cost using the effective interest method other than those categorised as fair value through profit or loss.

Other financial liabilities categorised as fair value through profit or loss are subsequently measured at their fair values with the gain or loss recognised in profit or loss.

Fair value though profit or loss category comprises financial liabilities that are derivatives (except for a derivative that is a financial guarantee or a designated and effective hedging instrument) or financial liabilities that are specifically designated into this category upon initial recognition.

(j) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount presented in the statements of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (continued)

(k) Leases

Accounting by lessee

(i) Finance leases

Leases of property, plant and equipment where the Group has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments.

Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate of interest on the remaining balance of the liability. The corresponding rental obligations, net of finance charges, are included in other long-term payables. The interest element of the finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The property, plant and equipment acquired under finance leases is depreciated over the shorter of the useful life of the asset and the lease term.

(ii) Operating leases

Leases of assets where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases, net of any incentives received from the lessor, are charged to profit or loss on the straight line basis over the lease period.

Operating lease accounting by lessor

When assets are leased out under an operating lease, the asset is included in the statements of financial position based on the nature of the asset. Lease income is recognised over the term for the lease on a straight line basis.

(l) Current and deferred income tax

The Group has exposure to income taxes in numerous jurisdictions. Significant judgement is involved in determining the group-wide provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted by the end of the reporting period, and any adjustment to tax payable in respect of previous financial years.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (continued)

(l) Current and deferred income tax (continued)

Deferred tax is recognised, using the liability method, on temporary differences arising between the amounts attributed to assets and liabilities for tax purposes and their carrying amounts in the financial statements. However, deferred tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit nor loss. Deferred tax is determined using tax rates that have been enacted or substantively enacted by the end of the reporting period and are expected to apply when the related deferred tax asset is realised or the deferred tax liability is settled.

Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, unused tax losses or unused tax credits can be utilised.

Deferred and income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

(m) Revenue recognition

(i) Goods sold

Revenue from sale of goods is recognised when the significant risks and rewards of ownership of the goods have been transferred to the customer and where the Group retains no continuing managerial involvement over the goods, which coincides with the delivery of goods and services, and acceptance by customers.

(ii) Sales of services

Revenue from services is recognised in the accounting period in which the services are rendered, by reference to the stage of completion of the transaction and assessed on the basis of the actual service provided as a proportion of the total services to be provided at the end of the reporting period.

(iii) Rental income

Rental income from investment property is recognised on a straight-line basis over the term of the lease.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (continued)

(m) Revenue recognition (continued)

(iv) Interest income

Interest income is recognised as it accrues using the effective interest method in profit or loss except for interest income arising from temporary investment of borrowings taken specifically for the purpose of obtaining a qualifying asset which is accounted for in accordance with the accounting policy on borrowing costs.

(v) Dividend income

Dividend income is recognised in profit or loss on the date that the Group's or the Company's rights to receive payment is established, which in the case of quoted securities is the ex-dividend date.

(n) Employee benefits

(i) Short term employee benefits

Wages, salaries, bonuses and social security contributions are recognised as an expense in the financial year in which the associated services are rendered by employees of the Company and its subsidiary companies. Short term accumulating compensated absences such as paid annual leave are recognised when services are rendered by employees that increase their entitlement to future compensation absences. Short term non-accumulating compensated absences such as sick and medical leave are recognised when the absences occur.

The expected cost of accumulating compensated absences is measured as additional amount expected to be paid as a result of the unused entitlement that has accumulated at the statement of financial position date.

(ii) Defined contribution plans

As required by law, companies in Malaysia make contributions to the Employees Provident Fund ("EPF"). The Group's foreign subsidiary company makes contributions to its respective country's statutory pension scheme. Such contributions are recognised as an expense in the profit or loss as incurred.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (continued)

(o) Equity instruments

Ordinary shares are classified as equity. Dividends on ordinary shares are recognised in equity in the period in which they are declared.

The transaction costs of an equity transaction are accounted for as a deduction from equity, net of tax. Equity transaction costs comprise only those incremental external costs directly attributable to the equity transaction which would otherwise have been avoided.

(p) Operating segments

Operating segments are reported in a manner consistent with the internal reporting and are regularly reviewed by the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Chief Executive Officer that makes strategic decisions.

(q) Treasury shares

When shares of the Company, that have not been cancelled, recognised as equity are repurchased, the amount of consideration paid is recognised directly in equity. Repurchased shares are classified as treasury shares and presented as a deduction from total equity. No gain or loss is recognised in the profit or loss on the repurchase, sale, issue or cancellation of treasury shares. When treasury shares are reissued by resale, the difference between the sales consideration and the carrying amount is recognised in equity.

(r) Warrants reserve

Proceeds from the issuance of warrants, net of issue costs, are credited to warrants reserve which is non-distributable. Warrants reserve is transferred to the share premium account upon the exercise of warrants and the warrants reserve in relation to the unexercised warrants at the expiry of the warrants will be transferred to retained earnings.

3. PROPERTY, PLANT AND EQUIPMENT

Group	Long term leasehold land RM	Long term leasehold building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor Vehicles RM	Total RM
2016								
Cost								
At 1.1.2016	12,366,833	10,731,795	53,924,345	455,719	585,787	1,694,146	366,518	80,125,143
Additions	–	–	4,927,437	12,476	8,853	89,385	–	5,038,151
Disposal	–	–	(2,417)	(1,094)	–	–	–	(3,511)
Exchange differences	–	–	121,366	545	721	3,028	–	125,660
At 31.12.2016	12,366,833	10,731,795	58,970,731	467,646	595,361	1,786,559	366,518	85,285,443
Accumulated depreciation								
At 1.1.2016	508,586	747,201	45,400,842	278,760	335,364	516,484	231,135	48,018,372
Charge for the financial year	129,852	214,636	3,761,172	37,638	46,276	201,769	39,258	4,430,601
Disposal	–	–	(1,853)	(639)	–	–	–	(2,492)
Exchange differences	–	–	122,247	434	338	893	–	123,912
At 31.12.2016	638,438	961,837	49,282,408	316,193	381,978	719,146	270,393	52,570,393
Carrying amount								
At 31.12.2016	11,728,395	9,769,958	9,688,323	151,453	213,383	1,067,413	96,125	32,715,050

3. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Group	Long term leasehold land RM	Long term leasehold building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor Vehicles RM	Total RM
2015								
Cost								
At 1.1.2015	12,366,833	10,731,795	50,087,491	435,886	519,159	1,654,894	366,518	76,162,576
Additions	–	–	3,136,264	16,379	64,058	39,252	–	3,255,953
Exchange differences	–	–	700,590	3,454	2,570	–	–	706,614
At 31.12.2015	12,366,833	10,731,795	53,924,345	455,719	585,787	1,694,146	366,518	80,125,143
Accumulated depreciation								
At 1.1.2015	378,734	532,566	41,488,185	235,111	288,447	334,696	191,877	43,449,616
Charge for the financial year	129,852	214,635	3,330,407	41,688	45,552	181,788	39,258	3,983,180
Exchange differences	–	–	582,250	1,961	1,365	–	–	585,576
At 31.12.2015	508,586	747,201	45,400,842	278,760	335,364	516,484	231,135	48,018,372
Carrying amount								
At 31.12.2015	11,858,247	9,984,594	8,523,503	176,959	250,423	1,177,662	135,383	32,106,771

Included in the property, plant and equipment of the Group is a motor vehicle acquired under finance lease arrangement with carrying amount of RM67,863 (2015: RM95,007).

3. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Company	Long term leasehold land RM	Long term leasehold building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor Vehicles RM	Total RM
2016								
Cost								
At 1.1.2016	12,366,833	10,731,795	33,998,364	409,464	557,910	1,646,448	170,230	59,881,044
Additions	–	–	282,065	12,012	2,809	3,910	–	300,796
Disposal	–	–	(2,417)	–	–	–	–	(2,417)
At 31.12.2016	12,366,833	10,731,795	34,278,012	421,476	560,719	1,650,358	170,230	60,179,423
Accumulated depreciation								
At 1.1.2016	508,586	747,201	32,770,673	255,034	319,035	507,563	170,230	35,278,322
Charge for the financial year	129,852	214,636	413,501	33,129	43,393	177,444	–	1,011,955
Disposal	–	–	(1,853)	–	–	–	–	(1,853)
At 31.12.2016	638,438	961,837	33,182,321	288,163	362,428	685,007	170,230	36,288,424
Carrying amount								
At 31.12.2016	11,728,395	9,769,958	1,095,691	133,313	198,291	965,351	–	23,890,999

3. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Company	Long term leasehold land RM	Long term leasehold building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor Vehicles RM	Total RM
2015								
Cost								
At 1.1.2015	12,366,833	10,731,795	33,766,497	393,085	493,852	1,607,196	170,230	59,529,488
Additions	–	–	231,867	16,379	64,058	39,252	–	351,556
At 31.12.2015	12,366,833	10,731,795	33,998,364	409,464	557,910	1,646,448	170,230	59,881,044
Accumulated depreciation								
At 1.1.2015	378,734	532,566	32,284,633	221,310	276,002	330,545	170,230	34,194,020
Charge for the financial year	129,852	214,635	486,040	33,724	43,033	177,018	–	1,084,302
At 31.12.2015	508,586	747,201	32,770,673	255,034	319,035	507,563	170,230	35,278,322
Carrying amount								
At 31.12.2015	11,858,247	9,984,594	1,227,691	154,430	238,875	1,138,885	–	24,602,722

The long term leasehold land and building of the Group and Company with a carrying amount of RM21,498,353 (2015: RM21,842,841) have been pledged to a licensed bank as security for credit facilities granted to the Group and the Company as disclosed in Note 17 to the financial statements.

The remaining lease period of the long term leasehold land and building is 91 (2015: 92) years.

4. INVESTMENT PROPERTIES

	Group/Company	
	2016	2015
	RM	RM
Leasehold land and buildings		
Cost		
At 1 January/ 31 December	14,001,873	14,001,873
Accumulated depreciation		
At 1 January	974,881	694,843
Charge for the financial year	280,038	280,038
At 31 December	1,254,919	974,881
Carrying amount	12,746,954	13,026,992
Fair value	20,234,370	31,945,983

The above investment properties have been pledged to a licensed bank as security for credit facilities granted to the Group and Company as disclosed in Note 17 to the financial statements.

The remaining lease period of the investment properties is 91 (2015: 92) years.

The income earned by the Group and the Company from rental of investment properties amounted to RM1,660,912 and RM2,097,346 (2015: RM1,783,461 and RM2,213,268). Direct operating expenses incurred on the investment properties during the financial year amounted to RM331,361 (2015: RM288,256).

The fair values of the investments as at the end of the reporting periods are arrived at by reference to market evidence of transaction prices for similar properties, adjusted for factors specific to the investment properties.

5. INVESTMENT IN SUBSIDIARY COMPANIES

(a) Investment in subsidiary companies

	Company	
	2016 RM	2015 RM
Unquoted shares, at cost		
In Malaysia	1,000,004	1,000,004
Outside Malaysia	1,392,000	1,392,000
	2,392,004	2,392,004
Less: Impairment loss	(297,002)	(297,002)
	2,095,002	2,095,002

Movement on the provision for impairment of investment in subsidiary companies:

	Company	
	2016 RM	2015 RM
At 1 January / 31 December	297,002	297,002

(b) The subsidiary companies and shareholding therein are as follows:

Name of company	Country of incorporation and principal place of business	Effective Ownership and Voting interest (%) 2016 %	2015 %	Principal activities
Direct holding:				
* N2N Connect Pte. Ltd.	Singapore	100	100	Provide consultancy services, sales, marketing and related activities
N2N Global Solutions Sdn. Bhd.	Malaysia	100	100	Research and development of software packages and provision of design, programming, consultancy services and related services

5. INVESTMENT IN SUBSIDIARY COMPANIES (CONTINUED)

(b) The subsidiary companies and shareholding therein are as follows (continued):

Name of company	Country of incorporation and principal place of business	Effective Ownership and Voting interest (%) 2016 %	2015 %	Principal activities
NGN Connection Sdn. Bhd.	Malaysia	100	100	Provision of managed network services, consultancy services, sales, marketing and related activities
N2N Advanced Learning Sdn. Bhd.	Malaysia	100	100	Provision of professional trainings for remisiers and related fields
Subsidiary of N2N Global Solutions Sdn. Bhd.				
Hermes Bos Sdn. Bhd. (formerly know as Influx Biotech Sdn. Bhd.)	Malaysia	70	70	Researcher and developer of software packages and provider of design, programming, consultancy services and related activities
Subsidiary of NGN Connection Sdn. Bhd.				
Global Fin Net Sdn. Bhd.	Malaysia	100	100	Provision of data center, system integration, managed network services and related services
Subsidiary of N2N Connect Pte. Ltd.				
# N2N Connect Australia Pty. Ltd.	Australia	100	–	Researcher and developer of software packages and provider of design, programming, consultancy services and related activities

* Subsidiary company not audited by Morison Anuarul Azizan Chew.

\# The audited financial statements for the financial year ended 31 December 2016 of this subsidiary company are not available at the date the financial statements of the Group as it is not required by the local legislations to have their financial statements audited. However, the Directors are of the opinion that the financial results of this subsidiary company are not material to the Group as the said subsidiary company is dormant. Hence, the management accounts of the said subsidiary company for the financial year ended 31 December 2016 have been used for the consolidation purposes.

5. INVESTMENT IN SUBSIDIARY COMPANIES (CONTINUED)

(c) Acquisition in equity interest in N2N Connect Australia Pty. Ltd.

During the financial year, the Company had acquired 100% of the issued and paid up share capital in N2N Connect Australia Pty. Ltd. comprising 100 ordinary shares of AUD1.00 each fully paid up for total cash consideration of AUD100. The acquisition above has no significant impact to the Group and the Company during the financial year.

(d) Non-controlling interests ("NCI") in subsidiaries

	Hermes Bos Sdn. Bhd. (formerly know as Influx Biotech Sdn. Bhd.)	
	2016 RM	2015 RM
Non-current assets	2,894,337	2,020,257
Current assets	234,953	627,245
Current liabilities	(1,385,042)	(684,320)
Net assets	1,744,248	1,963,182
Carrying amount of NCI as at 31 December	523,274	588,955
Revenue	–	–
Loss/Total comprehensive expense during the financial year	216,531	236,817
Loss/Total comprehensive expense allocated to NCI during the financial year	65,681	71,045
Cash flows from operating activities	480,820	435,755
Cash flows from investing activities	(874,080)	(2,058,510)
Cash flows from financing activities	–	2,199,998
Net (decrease)/increase in cash and cash equivalents	(393,260)	577,243
Ownership interest and voting rights percentage held by NCI	30%	30%

6. INTANGIBLE ASSETS

	Note	Group 2016 RM	Group 2015 RM	Company 2016 RM	Company 2015 RM
Computer software					
Cost					
At 1 January		30,176,872	23,782,526	25,667,910	21,907,441
Addition during the financial year					
- software development cost	27	4,715,115	4,345,226	3,326,412	3,760,469
- separate acquired		–	2,049,120	–	–
At 31 December		34,891,987	30,176,872	28,994,322	25,667,910
Accumulated Depreciation					
At 1 January		14,039,123	11,570,189	12,904,460	10,904,150
Amortisation during the financial year		2,719,717	2,468,934	2,269,876	2,000,310
At 31 December		16,758,840	14,039,123	15,174,336	12,904,460
Carrying amount					
31 December		18,133,147	16,137,749	13,819,986	12,763,450

The Group and the Company capitalise costs on development works relating to the enhancement of its existing software and development of new software packages which management expects will contribute to the generation of additional future economic benefits. During the financial year, the Group and the Company recognised an amortisation of RM 2,719,717 and RM2,269,876 (2015: RM2,468,934 and RM2,000,310) respectively which has been charged to cost of sales.

7. TRADE RECEIVABLES

The Group and the Company's normal trade credit terms range from 30 to 90 days (2015: 30 to 90 days).

The ageing analysis is as follows:

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Neither past due nor impaired	1,568,119	3,396,489	3,073	154,949
Past due less than 1 year	5,402,674	7,227,655	781,398	518,171
Past due more than 1 year	649,049	744,867	3,900	21,519
	6,051,723	7,972,522	785,298	539,690
	7,619,842	11,369,011	788,371	694,639

Trade receivables that are neither past due nor impaired are creditworthy debtors with good payment records with the Group and the Company. These debtors are mostly long term customers with no history of default in payments.

The Group's and the Company's trade receivables that are past due at the reporting date but not impaired relate mainly to customers who have never defaulted on payments but are slow paymasters and are periodically monitored.

8. OTHER RECEIVABLES

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Other receivables	116,159	59,567	99,634	49,215
Deposits	8,644,145	404,437	8,369,287	164,666
Prepayments	384,987	550,116	50,452	12,206
	9,145,291	1,014,120	8,519,373	226,087

Included in deposits is an amount of RM8,206,000 (2015: Nil) paid pursuant to a conditional Share Purchase Agreement for the proposed acquisition of AFE Solutions Limited as disclosed in Note 33 to the financial statements.

9. AMOUNT OWING BY/(TO) SUBSIDIARY COMPANIES

These amounts are non-trade in nature, unsecured, interest-free and are repayable on demand.

10. AMOUNT OWING BY A RELATED COMPANY

This amount is non-trade in nature, unsecured, interest-free and is repayable on demand.

11. AMOUNT OWING BY HOLDING COMPANY

This is non-trade in nature, unsecured, interest-free and is repayable on demand.

12. MARKETABLE SECURITIES

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Held for trading investment				
Quoted unit trusts in Malaysia	70,729,079	85,751,511	65,711,177	85,751,511

13. FINANCIAL ASSETS AT FAIR VALUE TROUGH PROFIT OR LOSS

	Group/Company	
	2016 RM	2015 RM
Quoted shares in Malaysia	2,923,448	4,467,108

Changes in fair values of financial assets at fair value through profit or loss amounting to a gain of RM475,336 (2015: loss of RM681,097) is presented within other operating income (2015: administrative expenses) in profit or loss.

14. DEPOSITS PLACED WITH LICENSED BANKS

Interest rates on deposits placed with licensed banks range from 2.65% to 3.83% (2015: 3.24% to 3.56%) per annum and have average maturity period of 1 to 180 days (2015: 1 to 180 days).

15. TRADE PAYABLES

The normal trade credit terms granted to the Group and the Company range from 15 to 90 days (2015: 15 to 90 days).

16. OTHER PAYABLES

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Other payables	672,577	416,902	370,299	88,374
Accruals	1,837,409	2,148,544	458,298	385,118
Deposits received	378,785	425,935	378,785	425,935
	2,888,771	2,991,381	1,207,382	899,427

17. BANK BORROWINGS

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Secured				
Term loan	3,695,470	4,282,470	3,695,470	4,282,470
Finance lease liabilities	12,706	37,669	–	–
	3,708,176	4,320,139	3,695,470	4,282,470
Analysed as:				
Repayable within twelve months				
Term loan	821,800	704,400	821,800	704,400
Finance lease liabilities	12,706	24,850	–	–
	834,506	729,250	821,800	704,400
Repayable after twelve months				
Term loan	2,873,670	3,578,070	2,873,670	3,578,070
Finance lease liabilities	–	12,819	–	–
	2,873,670	3,590,889	2,873,670	3,578,070
	3,708,176	4,320,139	3,695,470	4,282,470

17. BANK BORROWINGS (CONTINUED)

The above credit facilities obtained from a licensed bank are secured on the following:

(a) fixed charge on the Group and Company's long term leasehold land and building and investment properties as disclosed in Notes 3 and 4 to the financial statements;

(b) assignment of Rental Account and Rental Income arising from the investment properties;

(c) assignment of Revenue Account and Revenue Proceeds arising from the investment properties; and

(d) assignment of property purchase agreement and property power of attorney over the long term leasehold land and building and investment properties as disclosed in Notes 3 and 4 to the financial statements.

Maturity of borrowings is as follows:

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Within one year	834,506	729,250	821,800	704,400
Between one and two years	704,400	717,219	704,400	704,400
Between two and five years	2,169,270	2,113,200	2,169,270	2,113,200
After five years	–	760,470	–	760,470
	3,708,176	4,320,139	3,695,470	4,282,470

Range of interest rates during the financial year is as follows:

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Term loan	6.60	6.60	6.60	6.60
Finance lease liabilities	4.61	4.61	–	–

18. SHARE CAPITAL

	Group/Company			
	2016	2015	2016	2015
	Number of Ordinary Shares		RM	RM
Ordinary shares of RM0.10 each:				
Authorised				
At 1 January/31 December	1,000,000,000	1,000,000,000	100,000,000	100,000,000
Issued and fully paid				
At 1 January	463,589,165	439,686,665	46,358,917	43,968,667
Issued during the financial year	12,842,933	23,902,500	1,284,293	2,390,250
At 31 December	476,432,098	463,589,165	47,643,210	46,358,917

During the financial year, the issued and paid-up share capital of the Company was increased from RM46,358,917 to RM47,643,210 by way of the issuance of 12,842,933 new ordinary shares of RM0.10 each for cash pursuant to the exercise of Warrants based on an exercise price of RM0.38 and RM0.45 per ordinary share.

The new ordinary shares issued during the financial year rank pari passu in all respects with the existing ordinary shares of the Company.

19. TREASURY SHARES

	Group/Company	
	2016	2015
	RM	RM
At 1 January	–	4,881,241
Shares repurchased during the financial year	5,408,735	1,023,521
Shares resold during the financial year	–	(5,904,762)
At 31 December	5,408,735	–
No. of ordinary shares at RM0.10 each	6,701,000	–

19. TREASURY SHARES (CONTINUED)

During the financial year, the Company had repurchased a total of 6,701,000 (2015: 1,260,900) ordinary shares of its issued share capital from the open market at a total cost of RM5,408,735 (2015: RM1,023,521). The average price paid for the shares repurchased was RM0.81 (2015: RM0.81) share. The repurchase transactions were financed by internally generated funds. The repurchased shares are held as treasury shares and carried at cost in accordance with the requirements of section 67A of the Companies Act, 1965. Treasury shares had no rights to voting, dividends and participation in other distribution.

20. RESERVES

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Non-distributable				
Exchange reserve	803,566	727,858	–	–
Warrants reserve	1,396,982	1,653,841	1,396,982	1,653,841
	2,200,548	2,381,699	1,396,982	1,653,841

(a) Exchange reserve

The exchange reserve represents exchange differences arising from the translation of the financial statements of foreign operations whose functional currencies are different from that of the Group's presentation currency.

(b) Warrant reserve

On 9 April 2013, the Company issued 99,923,600 Warrants 2013/2018 ("Warrants") at an issue price of RM0.02 each pursuant to a renounceable rights issue of one warrant for every three existing ordinary shares of RM0.10 each held in the Company. The Warrants are constituted by a deed poll dated 5 March 2013. The warrants were listed on Bursa Malaysia on 11 April 2013. During the financial year, a total of 12,842,933 (2015:1,195,400) Warrants were exercised. As at 31 December 2016, there was a total of 69,849,102 (2015: 82,692,035) unexercised Warrants.

The main features of the Warrants are as follows:

- Each Warrant entitles the registered holder at any time during the exercise period to subscribe for one new ordinary share of RM0.10 each in the Company at an exercise price of :

  (a) RM0.32 per ordinary share (immediately preceding the first anniversary of the issuance of the Warrants);
  (b) RM0.38 per ordinary share (from the first anniversary of the issuance of the Warrants up to the date immediately preceding the third anniversary of the issuance of the Warrants); and
  (c) RM0.45 per ordinary share (from the third anniversary of the issuance of the Warrants up to and including the expiry date of the Warrants)

20. RESERVES (CONTINUED)

(b) Warrant reserve (continued)

- The exercise price and the number of Warrants are subject to adjustment in the event of alteration to the share capital, bonus issue, capital distribution and rights issue by the Company in accordance with the conditions provided in the deed poll.
- The Warrants shall be exercisable at any time within the period commencing on and including the date of issue of the Warrants and ending on the date preceding the fifth anniversary of the date of issue of the Warrants.
- Upon exercise of the Warrants into new ordinary shares, such shares shall rank pari passu in all respects with the ordinary shares of the Company in issue at the time of exercise except that they shall not be entitled to any dividend or other distributions declared in respect of a financial period prior to the financial period in which the Warrants are exercised or any interim dividend declared prior to the date of exercise of the Warrants.
- At the expiry of the exercise period, any Warrants which have not been exercised will lapse and cease to be valid for any purposes.

21. DEFERRED TAX LIABILITIES

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
At 1 January	1,318,851	243,718	1,318,851	–
Recognised in profit or loss:				
- property, plant and equipment	1,256,707	825,267	1,256,707	1,137,913
- unutilised tax losses	–	194,912	–	–
- unabsorbed capital allowance	(1,142,343)	286,946	(1,142,343)	–
- provision and others	(180,938)	(231,992)	(180,938)	180,938
	(66,574)	1,075,133	(66,574)	1,318,851
At 31 December	1,252,277	1,318,851	1,252,277	1,318,851

21. DEFERRED TAX LIABILITIES (CONTINUED)

The components of deferred tax assets and liabilities of the Group and the Company during the financial year prior to offsetting are as follows:

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Deferred tax assets:				
- unabsorbed capital allowances	1,327,993	185,650	1,327,993	185,650
- provision and others	–	18,835	–	18,835
	1,327,993	204,485	1,327,993	204,485
Offsetting	(1,327,993)	(204,485)	(1,327,993)	(204,485)
Net deferred tax assets	–	–	–	–
Deferred tax liabilities:				
- property, plant and equipment	2,580,270	1,323,563	2,580,270	1,323,563
- others	–	199,773	–	199,773
	2,580,270	1,523,336	2,580,270	1,523,336
Offsetting	(1,327,993)	(204,485)	(1,327,993)	(204,485)
Net deferred tax liabilities	1,252,277	1,318,851	1,252,277	1,318,851

The deductible temporary difference and unutilised tax losses of the Group for which no deferred tax assets were recognised in the statements of financial position are as follow:

	Group	
	2016 RM	2015 RM
Deductible temporary differences		
Unutilised tax losses	3,465,144	3,465,144
Unabsorbed capital allowance	1,256,162	503,758
	4,721,306	3,968,902
Deferred taxation not recognised at 24% (2015: 24%)	1,133,113	952,536

21. DEFERRED TAX LIABILITIES (CONTINUED)

The Group has not recognised the deferred tax liabilities for the following items:

	Group	
	2016 RM	2015 RM
Taxable temporary difference relating to property, plant and equipment	289,291	1,501,891
Deferred taxation not recognised at 24% (2015: 24%)	69,430	360,454

The Directors are of the opinion that the above deferred tax liabilities will not crystallise in the foreseeable future as the business operations of which the deferred tax liabilities arose are operated by certain subsidiary companies of which pioneer status has been granted for a five year period.

22. REVENUE

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Application solutions	20,164,274	20,139,487	5,478,649	5,827,459
Financial network services	21,651,614	18,762,213	440,555	697,762
	41,815,888	38,901,700	5,919,204	6,525,221

23. PROFIT BEFORE TAXATION

Profit before taxation is derived after charging/(crediting):

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Amortisation of intangible asset	2,719,717	2,468,934	2,269,876	2,000,310
Auditors' remuneration				
- statutory	81,985	77,981	38,000	36,000
- under provision in prior years	4,800	–	–	–
- others	5,000	5,000	5,000	5,000
Depreciation of property, plant and equipment	4,430,601	3,983,180	1,011,955	1,084,302
Depreciation of investment properties	280,038	280,038	280,038	280,038
Directors' remuneration				
- fees	335,625	317,341	335,625	317,341
- salaries and other emoluments	3,159,825	3,024,306	229,441	245,132
- defined contribution plan	179,400	128,196	18,110	18,228
Bad debts written off	91,737	302,095	89,737	137,512
Rental of premises	202,561	246,566	–	–
Foreign exchange (gain)/loss				
- Realised	(90,563)	(98,182)	(1,770)	(6,037)
- Unrealised	8,194	(210,762)	(75,887)	(832,389)
Fair value change on financial assets at fair value through profit or loss	(475,336)	681,097	(475,366)	681,097
Interest expense	274,055	319,626	268,169	317,293
Loss on disposal of property, plant and equipment	455	–	–	–
Interest income	(777,893)	(71,239)	(560,874)	(33,752)
Dividend income	(2,875,967)	(2,565,438)	(2,858,065)	(2,565,438)
Rental income	(1,660,912)	(1,783,461)	(2,097,346)	(2,213,268)
Management fee received/receivable from subsidiary companies	–	–	(852,672)	(745,264)

24. TAXATION

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Current tax:				
- Current year provision	160,093	12,406	128,516	8,439
- Under/(Over) provision in prior year	1,386	18,988	(4,020)	15,899
	161,479	31,394	124,496	24,338
Deferred taxation:				
- Original and reversal of temporary differences	(165,324)	1,075,133	(165,324)	1,318,851
- Underprovision in prior year	98,750	–	98,750	–
Taxation for the financial year	94,905	1,106,527	57,922	1,343,189

Domestic income tax is calculated at the Malaysian statutory tax rate of 24% (2015: 25%) of the estimated assessable profit for the financial year. Taxation for other jurisdictions is calculated at the rates prevailing in the respective jurisdictions.

24. TAXATION (CONTINUED)

A reconciliation of income tax expense applicable to profit before taxation at the statutory income tax rate to income tax expense at the effective income tax rate of the Group and of the Company are as follows:

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Profit before taxation	11,775,764	10,402,518	1,037,199	1,646,507
Taxation at statutory tax rate of 24% (2015: 25%)	2,826,183	2,600,630	248,928	411,627
Effect of changes in tax rate	–	(54,952)	–	(54,952)
Expenses not deductible for tax purposes	666,306	844,212	383,446	399,878
Origination of deferred tax arising from expiry of Pioneer status	–	1,312,438	–	1,312,438
Tax incentive arising from pioneer status	(3,361,197)	(3,110,790)	–	–
Income not subject to tax	(642,176)	(475,399)	(669,182)	(741,701)
Deferred tax assets not recognised	180,577	157,436	–	–
Changes in deferred tax liabilities not recognised due to Pioneer Status	291,024	(174,029)	–	–
Utilisation of previously unrecognised deferred tax assets	–	(59,441)	–	–
Effect of different tax rates in other countries	34,052	47,434	–	–
Under/(Over) provision of current taxation in prior year	1,386	18,988	(4,020)	15,899
Under provision of deferred taxation in prior year	98,750	–	98,750	–
Taxation for the financial year	94,905	1,106,527	57,922	1,343,189

25. EARNINGS PER SHARE

(a) Basic earnings per share

Basic earnings per share of the Group is calculated by dividing the consolidated profit attributable to owners of the Company by the weighted average number of ordinary shares of the Company in issue during the financial year.

	Group	
	2016 RM	2015 RM
Profit for the financial year attributable to the owners of the Company	11,746,540	9,367,036
Weighted number of ordinary share issued	472,917,882	440,426,280
Basic earnings per share (sen)	2.48	2.13

(b) Diluted earnings per share

For the purposes of calculating diluted earnings per share, consolidated profit attributable to owners of the Company is divided by weighted average number of ordinary shares in issue during the financial year, adjusted for the dilutive effects of all potential ordinary shares.

	Group	
	2016 RM	2015 RM
Profit for the financial year attributable to the owners of the Company	11,746,540	9,367,036
Weighted number of ordinary shares in issue	472,917,882	440,426,280
Adjusted for:		
Assumed exercise of Warrants at no consideration	32,651,355	43,977,900
	505,569,237	484,404,180
Diluted earnings per share (sen)	2.32	1.93

26. DIVIDENDS

	Group/Company	
	2016	2015
	RM	RM
First interim single tier dividend of 1 sen per ordinary share paid in respect of the financial year ended 31 December 2015	–	4,314,476
Second interim single tier dividend of 1 sen per ordinary share paid in respect of the financial year ended 31 December 2015	4,646,801	–
First interim single tier dividend of 1 sen per ordinary share paid in respect of the financial year ended 31 December 2016	4,751,160	–
	9,397,961	4,314,476

27. STAFF INFORMATION

		Group		Company	
		2016	2015	2016	2015
	Note	RM	RM	RM	RM
Staff costs (excluding Directors) comprise:					
Charged to profit or loss		7,252,609	6,294,968	3,243,863	2,601,672
Capitalised in intangible Asset	6	4,715,115	4,345,226	3,326,412	3,760,469
Total staff costs for the financial year		11,967,724	10,640,194	6,570,275	6,362,141

Included in the total staff costs above are contributions made to the Employees Provident Fund under a defined contribution plan for the Group and for the Company amounting to RM1,163,437 and RM645,919 (2015: RM992,758 and RM513,620) respectively.

28. SEGMENTAL INFORMATION

Segment information is primarily presented in respect of the Group's business segment which is based on the Group's management and internal reporting structure. Management monitors the operating results of its business segment separately for the purposes of making decision about resource allocation and performance assessment.

(a) Business segment

The principal businesses of the Group are carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities which are substantially within a single business segment. As such, segmental reporting by business segment is deemed not necessary. Accordingly the information regarding its financial position and results is represented by the financial statements as a whole.

(b) Geographical segments

(i) Revenue by geographical location of customers

	Group	
	2016 RM	2015 RM
Malaysia	34,732,545	32,141,130
Singapore	5,846,521	5,399,979
Indonesia	24,876	40,094
Philippine	1,211,946	1,320,497
	41,815,888	38,901,700

(ii) Non-current assets by geographical location of assets are as follows:

	Group	
	2016 RM	2015 RM
Malaysia	63,104,406	60,451,426
Singapore	490,745	820,086
	63,595,151	61,271,512

(c) Information about major customers

Revenue from 2 (2015: 2) major customers amount to RM14,450,358 (2015: RM14,842,711).

29. CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to maintain an adequate capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business.

The Group monitors capital using gearing ratio, which is total equity plus net debt. The Group's policy is to keep the lower gearing ratio. The Group includes within net debt, trade and other payables, bank borrowings less cash and bank balances.

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Trade and other payables	6,818,511	6,286,704	1,400,631	1,122,958
Bank borrowings	3,708,176	4,320,139	3,695,470	4,282,470
Less: cash and cash equivalents	(36,527,101)	(24,871,069)	(12,287,834)	(13,046,220)
Net (liquidity)/debt	(26,000,414)	(14,264,226)	(7,191,733)	(7,640,792)
Total equity	178,914,846	177,074,973	160,719,934	169,657,351
Capital and net debt	152,914,432	162,810,747	153,528,201	162,016,559
Gearing ratio	N/A	N/A	N/A	N/A

There were no changes to the Group's approach to capital management during the financial year.

30. FINANCIAL INSTRUMENTS

The table below provides an analysis of financial instruments and their categories:

2016	Fair value through profit or loss RM	Loans and receivables/ other financial liabilities RM	Total RM
Group			
Financial assets			
Trade and other receivables	–	16,380,146	16,380,146
Amount owing by a related company	–	37,739	37,739
Amount owing by holding company	–	107,707	107,707
Marketable securities	–	70,729,079	70,729,079
Financial assets at fair value through profit or loss	2,923,448	–	2,923,448
Cash and cash equivalents	–	36,527,101	36,527,101
	2,923,448	123,781,772	126,705,220
Financial liabilities			
Trade and other payables	–	4,981,103	4,981,103
Borrowings	–	3,708,176	3,708,176
	–	8,689,279	8,689,279
Company			
Financial assets			
Trade and other receivables	–	9,257,292	9,257,292
Amount owing by subsidiary companies	–	25,705,545	25,705,545
Amount owing by a related company	–	20,779	20,779
Amount owing by holding company	–	92,418	92,418
Marketable securities	–	65,711,177	65,711,177
Financial assets at fair value through profit or loss	2,923,448	–	2,923,448
Cash and cash equivalents	–	12,287,834	12,287,834
	2,923,448	113,075,045	115,998,493
Financial liabilities			
Trade and other payables	–	942,333	942,333
Amount owing to a subsidiary company	–	1,542,026	1,542,026
Borrowings	–	3,695,470	3,695,470
	–	6,179,829	6,179,829

30. FINANCIAL INSTRUMENTS (CONTINUED)

The table below provides an analysis of financial instruments and their categories (continued):

2015	Fair value through profit or loss RM	Loans and receivables/ other financial liabilities RM	Total RM
Group			
Financial assets			
Trade and other receivables	–	11,833,015	11,833,015
Amount owing by holding company	–	15,289	15,289
Amount owing by a related company	–	101,600	101,600
Marketable securities	–	85,751,511	85,751,511
Financial assets at fair value through profit or loss	4,467,108	–	4,467,108
Cash and cash equivalents	–	24,871,069	24,871,069
	4,467,108	122,572,484	127,039,592
Financial liabilities			
Trade and other payables	–	4,138,160	4,138,160
Borrowings	–	4,320,139	4,320,139
	–	8,458,299	8,458,299
Company			
Financial assets			
Trade and other receivables	–	908,520	908,520
Amount owing by subsidiary companies	–	21,363,667	21,363,667
Amount owing by a related company	–	134,120	134,120
Marketable securities	–	85,751,511	85,751,511
Financial assets at fair value through profit or loss	4,467,108	-	4,467,108
Cash and cash equivalents	–	13,046,220	13,046,220
	4,467,108	121,204,038	125,671,146
Financial liabilities			
Trade and other payables	–	737,840	737,840
Amount owing to a subsidiary company	–	1,933,302	1,933,302
Borrowings	–	4,282,470	4,282,470
	–	6,953,612	6,953,612

30. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (continued)

The Group's financial risk management policy is to ensure that adequate financial resources are available for the development of the Group's operations whilst managing its financial risks, including credit risk, liquidity risk and market risk.

Credit risk

Credit risk is the risk of a financial loss to the Group if a counterparty of a financial asset fails to meet its contractual obligations. The Group's exposure to credit risk arises mainly from trade and other receivables and intercompany receivables.

Management has a credit policy in place and the exposure to credit risk is monitored on an ongoing basis through the review of receivables ageing. At reporting date, there were no significant concentrations of credit risk other than disclosed in Note 7. The Group monitors the results of the related parties regularly to safeguard credit risk on balances from intercompany receivables.

Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's exposure to liquidity risk arises principally from trade and other payables and borrowings.

Cash flow forecasting is performed by monitoring the Group's liquidity requirements to ensure that it has sufficient liquidity to meet operational, financing repayments and other liabilities as they fall due.

30. FINANCIAL INSTRUMENTS (CONTINUED)

Liquidity risk (continued)

The table below summarises the maturity profile of the Group and the Company's financial liabilities as at the end of the reporting period based on contractual undiscounted payments:

	Carrying amount RM	Contractual interest rate %	Contractual cash flow RM	On demand or within one year RM	One to five years RM	More than five years RM
2016						
Group						
Trade and other payables	4,981,103	–	4,981,103	4,981,103	–	–
Term loan	3,695,470	6.60	4,181,889	916,505	3,265,384	–
Finance lease liabilities	12,706	4.61	12,985	12,985	–	–
	8,689,279		9,175,977	5,910,593	3,265,384	–
Company						
Trade and other payables	942,333	–	942,233	942,233	–	–
Amount owing to subsidiary company	1,542,026	–	1,542,026	1,542,026	–	–
Term loan	3,695,470	6.60	4,181,889	916,505	3,265,384	–
	6,179,829		6,666,148	3,400,764	3,265,384	–
2015						
Group						
Trade and other payables	4,138,160	–	4,138,160	4,138,160	–	–
Term loan	4,282,470	6.60	5,147,619	966,024	3,392,105	789,490
Finance lease liabilities	37,669	4.61	39,025	26,040	12,985	–
	8,458,299		9,324,804	5,130,224	3,405,090	789,490
Company						
Trade and other payables	737,840	–	737,840	737,840	–	–
Amount owing to subsidiary company	1,933,302	–	1,933,302	1,933,302	–	–
Term loan	4,282,470	6.60	5,147,619	966,024	3,392,105	789,490
	6,953,612		7,818,761	3,637,166	3,392,105	789,490

30. FINANCIAL INSTRUMENTS (CONTINUED)

Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and cash flow and fair value interest rate risk that may affect the Group's financial position and cash flows.

(a) Foreign currency exchange risk

The Group and the Company is exposed to foreign currency risk on sales and purchases that are denominated in a currency other than Ringgit Malaysia. The currency giving rise to this risk is primarily Singapore Dollar, US Dollar, Australia Dollar and Indonesia Rupiah. The Group and the Company monitors the foreign currency risks on an ongoing basis.

The net unhedged financial assets and financial liabilities of the Group and the Company that are not denominated in their functional currencies are as follows:

	Financial Assets/(Liabilities) Held in Non-Functional Currency		
Functional Currency	US Dollar RM	Indonesia Rupiah RM	Total RM
Group			
2016			
Trade receivables			
Ringgit Malaysia	280,343	97,361	377,704
Trade payables			
Ringgit Malaysia	(14,131)	–	(14,131)
	266,212	97,361	363,573
2015			
Trade receivables			
Ringgit Malaysia	1,638,690	102,822	1,741,512
Trade payables			
Ringgit Malaysia	(54,287)	–	(54,287)
	1,584,403	102,822	1,687,225

30. FINANCIAL INSTRUMENTS (CONTINUED)

Market risk (continued)

(a) Foreign currency exchange risk (continued)

Functional Currency	Financial Assets/(Liabilities) Held in Non-Functional Currency		
	Singapore Dollar RM	Australia Dollar RM	Total RM
Company			
2016			
Amount owing by subsidiary companies			
Ringgit Malaysia	5,927,302	308,624	6,235,926
2015			
Amount owing by subsidiary companies			
Ringgit Malaysia	5,802,072	–	5,802,072

Currency risk sensitivity analysis

The following table shows the sensitivity of the Group and the Company's equity and loss net of tax to a reasonably possible change in the Singapore Dollar, US Dollar and Indonesia Rupiah exchange rates against the functional currency of the Company, with all other variables remain constant.

		Group Profit net of tax		Company Profit net of tax	
		2016 RM	2015 RM	2016 RM	2015 RM
SGD/RM	- strengthened 5%	–	–	225,237	217,578
	- weakened 5%	–	–	(225,237)	(217,578)
USD/RM	- strengthened 5%	10,116	59,415	–	–
	- weakened 5%	(10,116)	(59,415)	–	–
IDR/RM	- strengthened 5%	3,700	3,856	–	–
	- weakened 5%	(3,700)	(3,856)	–	–
AUD/RM	- strengthened 5%	–	–	11,728	–
	- weakened 5%	–	–	(11,728)	–

30. FINANCIAL INSTRUMENTS (CONTINUED)

Market risk (continued)

(b) Interest rate risk

The Group's and the Company's income and operating cash flows are substantially independent of changes in market interest rates. Interest rate exposure arises from the Group's and the Company's borrowings and deposits.

Exposure to interest rate risk

The interest rate profile of the Group's and the Company's significant interest-bearing financial instruments, based on carrying amounts as at the end of the financial year are as follows:

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Fixed rate instruments				
Deposits with licensed banks	6,807,440	6,314,080	6,807,440	6,314,080
Finance lease liabilities	(12,706)	(37,669)	–	–
	6,794,734	6,276,411	6,807,440	6,314,080
Floating rate instruments				
Bank borrowings	(3,695,470)	(4,282,470)	(3,695,470)	(4,282,470)

Interest rate risk sensitivity analysis

Since the Group and the Company's fixed rate financial assets and liabilities are measured at amortised cost, possible changes in interest rates are not expected to have a significant impact on the Group and the Company's profit or loss.

A change of 50 basis points ("bp") in floating interest rates at the end of the reporting period would have increase/(decrease) profit net of tax by the amounts shown below, assuming all other variables remain constant.

	Group/Company	
	2016 RM	2015 RM
Profit net of tax		
50 bp increase	(14,043)	(16,059)
50 bp decrease	14,043	16,059

30. FINANCIAL INSTRUMENTS (CONTINUED)

Fair value information

The carrying amounts of cash and cash equivalents, short term receivables and payables and short term borrowings reasonably approximate their fair values due to the relatively short term nature of these financial instruments.

The carrying amount of long term borrowings carried on the statement of financial position reasonably approximate fair value as it is a floating rate instrument that is re-priced to market interest rates on or near the reporting date.

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: Quoted prices in active markets for identical assets or liabilities.
Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.
Level 3: Inputs for the asset or liability that is not based on observable market data.

The following table analyses the fair value hierarchy for financial instruments carried at fair value in the statement of financial position:

	2016 Level 1 Fair Value RM	2015 Level 1 Fair Value RM
Group/Company		
Financial assets		
Financial assets at fair value through profit or loss	2,923,448	4,467,108

31. RELATED PARTY DISCLOSURES

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Company has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Company and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

(a) The significant related party transactions of the Company, other than key management personnel compensation, are as follows:

	Group	
	2016 RM	2015 RM
Subcontract fee received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	139,256	90,826
Rental income received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	54,000	54,000
Management fees received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	60,000	60,000

	Company	
	2016 RM	2015 RM
E-Broker fees received/receivables from subsidiary companies:		
- N2N Global Solutions Sdn. Bhd.	2,675,087	2,757,683
Management fees received/receivable from subsidiary companies:		
- NGN Connection Sdn. Bhd.	792,672	625,264
- Hermes Bos Sdn. Bhd. (formerly known as Influx Biotech Sdn. Bhd.)	60,000	60,000
Rental income received/receivable from subsidiary companies:		
- N2N Global Solutions Sdn. Bhd.	244,434	237,807
- NGN Connection Sdn. Bhd.	108,000	108,000
- Hermes Bos Sdn. Bhd. (formerly known as Influx Biotech Sdn. Bhd.)	24,000	24,000
Subcontractor fees received/receivable from subsidiary companies:		
- NGN Connection Sdn. Bhd.	118,730	69,917
- Hermes Bos Sdn. Bhd. (formerly known as Influx Biotech Sdn. Bhd.)	306,126	111,983
Subcontractor fees paid/payable to subsidiary companies:		
- N2N Global Solutions Sdn. Bhd.	–	(255,615)
Professional fees paid/payable to a subsidiary company:		
- N2N Connect Pte. Ltd.	–	(99,644)

31. RELATED PARTY DISCLOSURES (CONTINUED)

(b) Information regarding outstanding balances arising from related party transactions as at the end of the reporting period are disclosed in Notes 9, 10 and 11 to the financial statements.

(c) Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group either directly or indirectly. The key management personnel include all the Directors of the Group, and certain members of senior management of the Group.

Information regarding the compensation of key management personnel is as follows:

	Group		Company	
	2016 RM	2015 RM	2016 RM	2015 RM
Short-term employee benefits	3,674,850	3,469,843	583,176	580,701

32. CAPITAL COMMITMENT

	Group	
	2016 RM	2015 RM
Capital expenditure approved and contracted for	83,667,488	240,000

33. SIGNIFICANT EVENT

On 12 October 2016, the Company had entered into a conditional Share Purchase Agreement ("SPA") with Reuters International Holdings S.A.R.L. and Systex Capital Group Inc. (collectively referred to as the "Vendors) for the proposed acquisition of the Vendors' entire equity interest in AFE Solutions Limited for a total consideration of USD20,597,300 (equivalent to RM92,399,488).

The proposed acquisition is subject to the following approvals being obtained:

- the shareholders of the Company at our forthcoming Extraordinary General Meeting ("EGM");
- Bank Negara Malaysia for the remittance of the Initial Purchase Consideration persuant to the Foreign Exchange Administration rules; and
- any other relevant authorities, if required.

As at 31 December 2016, all relevant approvals outlined above has yet to be obtained, except that the shareholders had approved the proposed acquisition in the Company's EGM held on 15 December 2016.

34. DATE OF AUTHORISATION FOR ISSUE

The financial statements of the Group and of the Company for the financial year ended 31 December 2016 were authorised for issue in accordance with a resolution of the Board of Directors dated 30 March 2017.

REALISED AND UNREALISED PROFITS/ LOSSES (SUPPLEMENTARY INFORMATION)

The breakdown of the accumulated loss of the Group and of the Company as at the end of the reporting period into realised and unrealised amounts is as follows:

	Group	
	2016 RM	2015 RM
Total retained earnings of the Group:		
- Realised profits	20,220,980	17,008,702
- Unrealised losses	(783,231)	(37,403)
	19,437,749	16,971,299
Add: consolidation adjustments	(1,153,078)	(1,035,207)
	18,284,671	15,936,092

	Company	
	2016 RM	2015 RM
Total retained earnings of the Company:		
- Realised profits	2,305,144	10,321,746
- Unrealised losses	(888,545)	(486,463)
	1,416,599	9,835,283

The determination of realised and unrealised profits or losses is based on the Guidance on Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, issued by the Malaysian Institutue of Accountants on 20 December 2010.

The above disclosure of realised and unrealised profits or losses is made solely for complying with the disclosure requirements stipulated in the directive of Bursa Malaysia Securities Berhad and is not made for any other purposes.

LIST OF PROPERTY

of N2N Connect Berhad as at 31 December 2016

Postal Address	Approximate Age of Building	Tenure/Date of Acquisition	Remaining Lease Period (Expiry of Lease)	Current Use	Land Area (SQ Feet)	Net Book Value As At 31 December 2016 (RM'000)
Wisma N2N, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur	8 Years	Leasehold/ 3June 2011	91 Years (16 August 2106)	Corporate Offices	54,059	34,245

ANALYSIS OF SHAREHOLDINGS

as at 31 March 2017

Type of Securities	:	Ordinary Shares
Total number of Shares issued	:	476,432,098 Ordinary Shares
Voting rights	:	One vote per Ordinary Share
No. of shareholders	:	1,208
Number of Treasury shares	:	7,274,700 Ordinary Shares

1. DISTRIBUTION SCHEDULE OF SHAREHOLDERS

No. of Holders	Holdings	Total Holdings	%
47	Less than 100	1,365	0.00
122	100 to 1,000	79,878	0.02
588	1,001 to 10,000	3,314,700	0.71
316	10,001 to 100,000	10,437,800	2.22
132	100,001 to less than 5% of issued shares	197,846,545	42.17
3	5% and above of issued shares	257,477,110	54.88
1,208		469,157,398	100.00

2. LIST OF THIRTY (30) LARGEST SHAREHOLDERS

	Name	No. of Shares	Percentage (%)
1.	N2N Connect Holdings Sdn Bhd	135,449,510	28.87
2.	Cimsec Nominees (Asing) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	61,013,800	13.00
3.	Cimsec Nominees (Asing) Sdn Bhd *Pledged Securities Account for Quick Corp*	61,013,800	13.00
4.	Affin Hwang Nominees (Asing) Sdn Bhd *DBS Vickers Sec (S) Pte Ltd for Avenue Investors Limited*	17,782,300	3.79
5.	Lai Su Ping	15,995,644	3.41
6.	Tiang Boon Hwa	14,397,570	3.07
7.	Affin Hwang Nominees (Asing) Sdn Bhd *DBS Vickers Secs (S) Pte Ltd for Goh Fuqiang, Kenneth*	13,266,666	2.83
8.	HLB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Ong Nai Pew (Sin 9488-0)*	12,962,833	2.76
9.	Citigroup Nominees (Asing) Sdn Bhd *Exempt An for UBS Switzerland AG (Clients Assets)*	12,960,000	2.76

2. LIST OF THIRTY (30) LARGEST SHAREHOLDERS (CONTINUED)

	Name	No. of Shares	Percentage (%)
10.	Amsec Nominees (Asing) Sdn Bhd *KGI Securities (Singapore) Pte. Ltd. for 28 Holdings Pte. Ltd. (16333)*	10,000,000	2.13
11.	Chua Hock Ann	9,511,362	2.03
12.	Malaysia Nominees (Tempatan) Sendirian Berhad *Great Eastern Life Assurance (Malaysia) Berhad (LBF)*	6,336,000	1.35
13.	Amsec Nominees (Asing) Sdn Bhd *KGI Securities (Singapore) Pte. Ltd. for Goh Khoon Lim (45128)*	5,084,300	1.08
14.	Cimsec Nominees (Tempatan) Sdn Bhd *CIMB Bank for Goh Ching Chee (MY0605)*	4,700,000	1.00
15.	Citigroup Nominees (Tempatan) Sdn Bhd *Employees Provident Fund Board (Am Inv)*	4,428,200	0.94
16.	DB (Malaysia) Nominee (Tempatan) Sendirian Berhad *Deutsche Trustees Malaysia Berhad for Eastspring Investmentsgrowth Fund*	3,714,600	0.79
17.	Ming Khing Yih	2,180,000	0.46
18.	Ngang Ching Tang	2,095,400	0.45
19.	Maybank Nominees (Tempatan) Sdn Bhd *Libra Invest Berhad for Lembaga Kumpulan Wang Amanah Pelaburan Negeri Pulau Pinang (E00560-260218)*	2,000,000	0.43
20.	Wong Kok Ping	1,961,600	0.42
21.	Lim Kok Tean	1,819,428	0.39
22.	Affin Hwang Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Chua Tiong Hoong*	1,700,000	0.36
23.	Vivian Lea Si-Xiu	1,591,800	0.34
24.	DB (Malaysia) Nominee (Tempatan) Sendirian Berhad *Deutsche Trustees Malaysia Berhad for Eastspring Investmentsdynamic Fund*	1,506,800	0.32
25.	DB (Malaysia) Nominee (Tempatan) Sendirian Berhad *Deutsche Trustees Malaysia Berhad for Eastspring Investmentsbalanced Fund*	1,485,000	0.32
26.	Maybank Nominees (Tempatan) Sdn Bhd *Maybank Trustees Berhad for Libra Tacticalextra Fund (250082)*	1,449,400	0.31
27.	Maybank Nominees (Tempatan) Sdn Bhd *Maybank Trustees Berhad for Libra Equityextra Fund (990405)*	1,323,100	0.28
28.	Liew Kim Loong	1,279,200	0.27
29.	Malacca Equity Nominees (Tempatan) Sdn Bhd *Exempt An for Phillip Capital Management Sdn Bhd*	1,162,100	0.25
30.	Chan See Wai	1,148,668	0.24
		411,319,081	87.67

ANALYSIS OF SHAREHOLDINGS (Cont'd)

3. LIST OF SUBSTANTIAL SHAREHOLDERS

	Names	No. of Shares (Direct)	Percentage (%)	No. of Shares (Indirect)	Percentage (%)
1.	N2N Connect Holdings Sdn Bhd	135,449,510	28.87	–	–
2.	CIMSEC Nominees (Asing) Sdn Bhd Pledged Securities Account for Nikkei Inc	61,013,800	13.00	–	–
3.	CIMSEC Nominees (Asing) Sdn Bhd Pledged Securities Account for Quick Corp	61,013,800	13.00	–	–
4.	Tiang Boon Hwa	14,918,944	3.18	151,445,154[1]	32.28
5.	Lai Su Ping	15,995,644	3.41	150,368,454[2]	32.05

4. DIRECTOR'S INTEREST IN SHARES IN THE COMPANY AND ITS RELATED COMPANIES

	Names	No. of Shares (Direct)	Percentage (%)	No. of Shares (Indirect)	Percentage (%)
1.	Tiang Boon Hwa	14,918,944	3.18	151,445,154[1]	32.28
2.	Lai Su Ping	15,995,644	3.41	150,368,454[2]	32.05
3.	Tan Boon Leng	1,232,700	0.26	329,600[3]	0.07
4.	Goh Fuqiang, Kenneth	13,266,666	2.83	–	–
5.	Akio Furuse	–	–	–	–
6.	Oh Kim Sun	–	–	–	–
7.	Elaine Foong Sooi Jade	–	–	–	–
8.	Masashi Shindo	–	–	–	–

The above Directors by virtue of their shareholdings in the Company are also deemed interested in shares in the related corporations to the extent the Company has an interest.

NOTE:

(1) *Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*

(2) *Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*

(3) *Deemed interested by virtue of his spouse, Maggie Chong Mei Ling's interest, pursuant to Section 59 of the Companies Act 2016.*

ANALYSIS OF WARRANTHOLDINGS

as at 31 March 2017

Type of Securities	:	5 Years Warrants 2013/2018
Total Warrant Issued and Not Exercised	:	69,849,102
Voting rights	:	The holders of the Warrants are not entitled to any voting rights or to participate in any distribution and/or offer of further securities in the Company until and unless such holder of the Warrants are issued with new N2N Shares arising from their exercise of the Warrants

1. DISTRIBUTION SCHEDULE OF WARRANTHOLDERS

No. of Holders	Holdings	Total Holdings	%
12	Less than 100	529	0.00
32	100 to 1,000	16,501	0.02
100	1,001 to 10,000	558,997	0.80
131	10,001 to 100,000	4,357,141	6.24
43	100,001 to less than 5% of issued warrants	14,033,465	20.09
2	5% and above of issued warrants	50,882,469	72.85
320		69,849,102	100.00

2. LIST OF THIRTY (30) LARGEST WARRANTS ACCOUNT HOLDERS

	Name	No. of Warrants	Percentage (%)
1.	N2N Connect Holdings Sdn Bhd	46,562,469	66.66
2.	Citigroup Nominees (Asing) Sdn Bhd *Exempt An for UBS Switzerland AG (Clients Assets)*	4,320,000	6.18
3.	Lai Su Ping	2,045,213	2.93
4.	Tiang Boon Hwa	1,405,856	2.01
5.	Tiang Boon Hwa	952,733	1.36
6.	Lim Siew Hong	922,100	1.32
7.	Cimsec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ng Yen Woon (Cyberjaya-CL)*	604,000	0.86
8.	Dominic Ong Sheng Yew	600,000	0.86
9.	Tan Meng Hooi	442,000	0.63
10.	M & A Nominee (Tempatan) Sdn Bhd *Pledged Securities Account for Chia Yet Mee (M&A)*	441,700	0.63
11.	Melvin Chow Jin Hoong	413,000	0.59

ANALYSIS OF WARRANTHOLDINGS (Cont'd)

2. LIST OF THIRTY (30) LARGEST WARRANTS ACCOUNT HOLDERS (CONTINUED)

	Name	No. of Warrants	Percentage (%)
12.	Wong Kok Ping	395,666	0.57
13.	Maggie Chong Mei Ling	362,266	0.52
14.	Choo Kian Loo	350,000	0.50
15.	Cimsec Nominees (Tempatan) Sdn Bhd *CIMB Bank for Tan Thong Guan (MY1081)*	246,800	0.35
16.	Amsec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ling Yun Hwee @ Lim Bee Hong*	246,000	0.35
17.	Lee Soon Kwee	244,000	0.35
18.	Public Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Boon Leng (E-TSA)*	239,000	0.34
19.	SJ Sec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Chua Tiong Kheng (SMT)*	233,000	0.33
20.	Lai Wei Suen	229,866	0.33
21.	Lee How Leng	214,700	0.31
22.	Liew Siew Chin	207,400	0.30
23.	Wang Ah Lien	200,300	0.29
24.	Chan Siew Kuen	193,000	0.28
25.	Lim Mee Hiong	180,100	0.26
26.	Cheong Min Choong	176,000	0.25
27.	Cimsec Nominees (Tempatan) Sdn Bhd *CIMB Bank for Tan Boon Leng (MY1547)*	172,166	0.25
28.	Kenanga Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Kok Pin @ Kok Khong*	158,000	0.23
29.	Cimsec Nominees (Tempatan) Sdn Bhd *CIMB for Ting Kuok Ley @ David Kuok Leh Ting (PB)*	155,000	0.22
30.	HSBC Nominees (Asing) Sdn Bhd *Exmept An for BNP Paribas Singapore Branch (A/C Clients-FGN)*	154,133	0.22
		63,066,468	90.29

3. DIRECTOR'S INTEREST IN WARRANTS IN THE COMPANY AND ITS RELATED COMPANIES

	Names	No. of Warrants (Direct)	Percentage (%)	No. of Warrants (Indirect)	Percentage (%)
1.	Tiang Boon Hwa	2,502,089	3.58	48,607,682[1]	69.59
2.	Lai Su Ping	2,045,213	2.93	49,064,558[2]	70.24
3.	Tan Boon Leng	411,166	0.59	362,266[3]	0.52
4.	Goh Fuqiang, Kenneth	–	–	–	–
5.	Akio Furuse	–	–	–	–
6.	Oh Kim Sun	–	–	–	–
7.	Elaine Foong Sooi Jade	–	–	–	–
8.	Masashi Shindo	–	–	–	–

NOTE:

(1) Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.

(2) Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.

(3) Deemed interested by virtue of his spouse, Maggie Chong Mei Ling's interest, pursuant to Section 59 of the Companies Act 2016.

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the Sixteenth Annual General Meeting of the Company will be held at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur on Thursday, 25 May 2017 at 10:00 a.m. to transact the following business:

Agenda

Ordinary Business

1. To lay before the meeting the Audited Financial Statements for the financial year ended 31 December 2016 and the Reports of the Directors and Auditors thereon.

2. To approve the payment of Directors' fees of RM335,625 for the financial year ended 31 December 2016 (2015: RM229,500). *(Ordinary Resolution 1)*

3. To approve the payment of Directors' benefits (excluding Directors' Fees) up to an amount of RM309,000 payable for the financial year ending 31 December 2017. *(Ordinary Resolution 2)*

4. To re-elect the following Directors retiring in accordance with Article 127 of the Company's Constitution:

   4.1 Mr Goh Fuqiang, Kenneth *(Ordinary Resolution 3)*

   4.2 Datuk Tan Boon Leng *(Ordinary Resolution 4)*

5. To re-elect the following Director retiring in accordance with Article 132 of the Company's Constitution:

   5.1 Mr Masashi Shindo *(Ordinary Resolution 5)*

6. To re-appoint Messrs Morison Anuarul Azizan Chew as Auditors of the Company and to authorise the Board of Directors to determine their remuneration. *(Ordinary Resolution 6)*

Special Business

7. To consider and if thought fit, to pass the following as an ordinary resolution

AUTHORITY PURSUANT TO SECTIONS 75 AND 76 OF THE COMPANIES ACT 2016 *(Ordinary Resolution 7)*

"THAT, pursuant to Sections 75 and 76 of the Companies Act 2016 and subject to the approvals of the relevant government and/or regulatory authorities, where necessary, the Directors be and are hereby empowered to issue ordinary shares in the Company at any time until the conclusion of the next Annual General Meeting and upon such terms and conditions and for such purposes as the Directors may, in their absolute discretion, deem fit provided that the aggregate number of ordinary shares to be issued does not exceed 10% of the total issued share capital of the Company at the time of issue, and that the Directors be and are also empowered to obtain the approval of Bursa Malaysia Securities Berhad for the listing of and quotation for the additional shares so issued."

8. To consider and if thought fit, to pass the following as an ordinary resolution:

PROPOSED RENEWAL OF THE AUTHORITY FOR THE COMPANY TO PURCHASE UP TO TEN PERCENT (10%) OF ITS TOTAL NUMBER OF ISSUED SHARES ("PROPOSED SHARE BUY-BACK") *(Ordinary Resolution 8)*

"THAT, subject to the Companies Act, 2016, the Constitution of the Company, the Listing Requirements of Bursa Malaysia Securities Berhad ("Bursa Securities") for the ACE Market ("ACE LR") and the approval of such relevant government and/or regulatory authorities where necessary, the Company be and is hereby authorised to purchase its own ordinary shares ("Shares") on the ACE Market of Bursa Securities ("Proposed Share Buy-Back") at any time, upon such terms and conditions as the Directors shall in their discretion deem fit and expedient in the best interest of the Company provided that:-

(a) The aggregate number of Shares in the Company which may be purchased and/or held by the Company shall not exceed ten percent (10%) of the prevailing total number of issued shares of the Company at the time of purchase and the compliance with the public shareholding spread requirements as stipulated in Rule 8.02(1) of the ACE LR or such other requirements as may be determined by Bursa Securities from time to time;

(b) The maximum funds to be allocated by the Company for the purpose of purchasing the Shares shall not exceed the audited retained profits of the Company of RM1,416,599, as at 31 December 2016;

(c) The authority conferred by this resolution will commence after the passing of this ordinary resolution and will continue to be in force until:-

    (i) the conclusion of the next Annual General Meeting ("AGM") at which time it shall lapse unless by ordinary resolution passed at the meeting, the authority is renewed, either unconditionally or subject to conditions; or
    (ii) the expiration of the period within which the next AGM after that date is required by law to be held; or
    (iii) revoked or varied by ordinary resolution passed by the shareholders of the Company in a general meeting;

    whichever occurs first; and

(d) Upon the purchase by the Company of its own Shares, the Board of Directors of the Company ("Board") be and is hereby authorised to:-

    (i) cancel all or part of the Shares purchased pursuant to the Proposed Share Buy-Back ("Purchased Shares"); and/or
    (ii) retain all or part of the Purchased Shares as treasury shares; and/or
    (iii) distribute the treasury shares as share dividends to the Company's shareholders for the time being; and/or
    (iv) resell all or part of the treasury shares on Bursa Securities; and/or

(v) transfer all or part of the treasury shares for the purposes of or under an employees' share scheme; and/or
(vi) transfer all or part of the treasury shares as purchase consideration; and/or
(vii) sell, transfer or otherwise use the treasury shares for such other purposes as the Minister may by order prescribe.

AND THAT authority be and is hereby given to the Board to take all such steps as are necessary or expedient to implement, finalise and give full effect to and to implement the Proposed Share Buy-Back with full powers to assent to any conditions, modifications, revaluations, variations and/or amendments (if any) as may be required or imposed by the relevant authorities from time to time and to do all such acts and things as the Board may deem fit and expedient in the best interest of the Company."

9. To transact any other business of which due notice shall have been given.

FURTHER NOTICE IS HEREBY GIVEN THAT for the purpose of determining a member who shall be entitled to attend this Sixteenth Annual General Meeting, the Company shall be requesting Bursa Malaysia Depository Sdn. Bhd. ("Bursa Depository") in accordance with Article 77 of the Company's Constitution and Section 34 (1) of the Securities Industry (Central Depositories) Act 1991 to issue a General Meeting Record of Depositors as at 18 May 2017. Only a depositor whose name appears on the Record of Depositors as at 18 May 2017 shall be entitled to attend the said meeting or appoint proxy/proxies to attend and/or vote on his behalf.

By order of the Board

HO MUN YEE (MAICSA 0877877)
TAM FONG YING (MAICSA 7007857)
Company Secretaries

Kuala Lumpur
28 April 2017

NOTES:

1. *A proxy may but need not be a member of the Company.*
2. *A member shall be entitled to appoint more than one (1) proxy but not exceeding three (3) proxies to attend and vote at the same meeting. Where a member appoints more than one (1) proxy, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy. If the appointor is a corporation, this form must be executed under its Common Seal or under the hand of its attorney.*
3. *The instrument appointing a proxy must be deposited at the Company's Registered Office at 3rd Floor, No. 17 Jalan Ipoh Kecil, 50350 Kuala Lumpur not less than 24 hours before the time appointed for holding the Meeting or any adjournment thereof.*

Notes:

1. The Audited Financial Statements are for discussion only as they do not require shareholders' approval pursuant to Section 340(1) of the Companies Act 2016. Hence this matter will not be put for voting.

2. The benefits payable to the Directors (excluding Directors' Fees) comprises child education subsidy and meeting allowances. The estimated meeting allowances payable to the Directors are calculated based on the number of scheduled meetings for the Board of Directors, Board Committees and general meetings of the Company for the financial year ending 31 December 2017.

EXPLANATORY NOTES ON SPECIAL BUSINESS

A. Authority pursuant to Sections 75 and 76 of the Companies Act 2016

The Ordinary Resolution, if passed, will give authority to the Directors of the Company, from the date of the above Annual General Meeting, to issue ordinary shares in the Company up to and not exceeding in total 10% of the issued capital of the Company at the time of issue. This authority, unless revoked or varied at a general meeting, will expire at the next Annual General Meeting.

As at the date of this Notice, no new ordinary shares in the Company were issued pursuant to the mandate granted to the Directors at the last AGM held on 24 May 2016, in which the said mandate will lapse at the conclusion of this AGM.

The Renewed Mandate will provide flexibility to the Company for any possible fund raising activities, including but not limited to further placing of shares, for purpose of funding future investment project(s), working capital, acquisitions and/or such other applications that the Directors may in their absolute discretion deem fit.

B. Proposed Renewal of Authority To Buy-Back Shares

The Ordinary Resolution, if passed, will provide mandate for the Company to buy-back its own shares up to a limit of 10% of the prevailing total number of issued shares of the Company. Further explanatory notes on Ordinary Resolution 8 is set out in the Statement to Shareholders dated 28 April 2017 despatched together with the Annual Report.

STATEMENT ACCOMPANYING THE NOTICE OF ANNUAL GENERAL MEETING

A. Details of the Directors who are standing for election as Directors

The details of the Directors who are standing for re-election at the Sixteenth Annual General Meeting are set out in the Directors' Profile of the Company's 2016 Annual Report. The retiring Directors have been assessed by the Nomination Committee and the Board of Directors and are recommended for re-election at the Sixteenth Annual General Meeting.

No individual other than the retiring Directors are seeking election as Directors at the Sixteenth Annual General Meeting.

B. Mandate for Issuance of Shares

Further details of the authority to Directors to issue ordinary shares in the Company pursuant to Sections 75 and 76 of the Companies Act, 2016 are as stated above in the Explanatory Notes on Special Business.

N2N CONNECT BERHAD
(523137-K)
(Incorporated in Malaysia)

PROXY FORM

CDS Account No.		No. of Shares held		Tel No	

I/We, _____
(Full name in Block Letters and NRIC/Passport/Company No.)

of _____
(Address)

being a member(s) of N2N CONNECT BERHAD, hereby appoint

Full Name (in Block Letters) and address	NRIC/Passport No.	% of Shareholding

or failing him/her

Full Name (in Block Letters) and address	NRIC/Passport No.	% of Shareholding

or failing him/her

Full Name (in Block Letters) and address	NRIC/Passport No.	% of Shareholding

or failing him/her, the CHAIRMAN OF THE MEETING, as my/our proxy, to vote for me/us and on my/our behalf at the Sixteenth Annual General Meeting of the Company to be held at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur on Thursday, 25 May 2017 at 10:00 a.m. or at any adjournment thereof.

		FOR	AGAINST
Ordinary Resolution 1	Directors' fees		
Ordinary Resolution 2	Directors' benefits		
Ordinary Resolution 3	Re-election of Mr Goh Fuqiang, Kenneth		
Ordinary Resolution 4	Re-election of Datuk Tan Boon Leng		
Ordinary Resolution 5	Re-election of Mr Masashi Shindo		
Ordinary Resolution 6	Re-appointment of Auditors		
Ordinary Resolution 7	Authority to issue shares pursuant to Sections 75 and 76		
Ordinary Resolution 8	Proposed Share Buy-Back		

Subject to any voting instructions so given, the proxy will vote, or may abstain from voting on any resolution as he/she may think fit.

_____
Signature(s)/Common Seal of Shareholder

Dated this _____ day of _____2017

NOTES

1. *A proxy may but need not be a member of the Company.*
2. *A member shall be entitled to appoint more than one (1) proxy but not exceeding three (3) proxies to attend and vote at the same meeting. Where a member appoints more than one (1) proxy, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy. If the appointor is a corporation, this form must be executed under its Common Seal or under the hand of its attorney.*
3. *The instrument appointing a proxy must be deposited at the Company's Registered Office at 3rd Floor, No. 17 Jalan Ipoh Kecil, 50350 Kuala Lumpur not less than 24 hours before the time appointed for holding the Meeting or any adjournment thereof.*

Please fold here

Stamp

The Company Secretary
N2N CONNECT BERHAD (523137-K)
3rd Floor
17, Jalan Ipoh Kecil
50350 Kuala Lumpur

Please fold here

MSC MALAYSIA
Status Company

N2N CONNECT BERHAD 523137-K

Wisma N2N, Level 9, Tower 2, Avenue 3
Bangsar South, No. 8, Jalan Kerinchi
59200 Kuala Lumpur, West Malaysia
T (603) 2241 1818 F (603) 2241 1616

www.n2nconnect.com